HOMEBOYZ ENTERTAINMENT PLC

LISTING STATEMENT

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KEEP THE KROWD MOVIN.

Homeboyz Entertainment Plc
Incorporation Number C.2/2020

Formerly known as Homeboyz Entertainment Ltd (Incorporation Number C. 93192)

Incorporated in Kenya under the Companies Act (Cap. 486, Laws of Kenya) (Now Repealed).

LISTING STATEMENT

Dated: 09th December 2020

In respect of:

The Listing by introduction on the Growth Enterprise Market Segment of the Nairobi Securities Exchange of up to 63,200,000 Ordinary Shares of KES 0.50 each of Homeboyz Entertainment Plc at a listing price of KES 4.66 per Ordinary Share.

This Information Memorandum is issued in compliance with the Companies Act (No. 17 of 2015), the Capital Markets Act (Cap. 485A) and the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations 2002.

Important Notice

THIS DOCUMENT IS IMPORTANT FOR CONSIDERING WHAT ACTION TO TAKE AND REQUIRES YOUR CAREFUL ATTENTION AS IT INCLUDES LEGAL, MARKET AS WELL AS HISTORIC, CURRENT AND FUTURE FINANCIAL INFORMATION.

This Listing Statement includes particulars given in compliance with the requirements of the Companies Act (Act No. 17 of 2015, Laws of Kenya), the requirements of the Capital Markets Act (Cap. 485A, Laws of Kenya), The Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations 2002, as well as the rules and regulations made thereunder and the Rules of the Nairobi Securities Exchange ("NSE").

This Listing Statement is issued by Homeboyz Entertainment Plc ("HEL") and has been prepared in compliance with The Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations, 2002 in connection with the proposed listing of the whole of its existing issued share capital ("Shares") on the Official List of the NSE by way of Introduction ("Introduction") in the Growth Enterprise Market Segment ("GEMS") of the NSE. This follows approval of the listing by the shareholders through a shareholders' resolution dated 28th February 2020.

An application has been made to the NSE and approval has been granted for the listing of the Shares of the Company on the NSE. Subject to compliance with the NSE Listing Rules, the NSE will admit the Shares of HEL for listing under the security code "HEL" in the GEMS. As a matter of policy, the NSE assumes no responsibility for the correctness of any statements or opinions made or reports contained in this Listing Statement. Approval of the Listing is not to be taken as an indication of the merits of HEL or of the Shares.

If you are in doubt as to the meaning of the contents of this Listing Statement or as to what action to take, please consult your investment bank, financial advisor, stockbroker or other professional advisor, duly authorized under the Capital Markets Act, who specializes in advising on the acquisition of shares and other securities.

The Directors of the Issuer, whose names appear on page 5 of this Listing Statement, accept responsibility for the information contained in this document. To the best of the knowledge and belief of the Directors (who have taken all reasonable care to ensure that such is the case), the information contained in this document is in accordance with facts and does not omit anything likely to affect the import of such information.

All the documents required to be filed with the Registrar of Companies pursuant to the Companies Act, 2015 have been filed.

Shares of HEL will be available to the general public through the secondary trading on the NSE. Upon listing, the sale or transfer of Shares will be subject to the rules of the NSE and the CDSC (as defined below). The register will be maintained by Custody and Registrars Services Limited (the "Registrar"). There are currently no other restrictions on the sale or transfer of Shares under Kenyan law by Kenyan residents. This Listing Statement does not constitute an offer or invitation to any person to subscribe for or purchase any new shares in HEL and HEL is not marketing any new shares of the company. Neither this Listing Statement nor any other information supplied in connection with the Introduction is intended to provide a complete basis of any credit or other evaluation, nor should it be considered as a recommendation by HEL, that any recipient of this Listing Statement (or any other information supplied in connection with the Introduction) should purchase any shares of HEL.

Legal Advisor's Opinion

MMC ASAFO, the Legal Advisors, have given and not withdrawn their written consent to the inclusion in this Listing Statement of their Legal Opinion (attached as Appendix 2), and the references to their names, in the form and context in which they appear, and have authorized the contents of the said Legal Opinion. The Statutory and General Information section of this Listing Statement lists material contracts which arose in the ordinary course of business in which the Issuer is currently involved.

Reporting Accountants' Opinion

This Listing Statement contains statements from Matengo & Associates, the Reporting Accountants, which constitutes a statement made by an expert. The Reporting Accountants have given and not withdrawn their consent to the issue of the said statements in the form and context in which they are included in this Listing Statement.

Forward-looking Statement

This Listing Statement contains forward-looking statements relating to HEL's business. These forward-looking statements can be identified by the use of forward-looking terminology, including **believes**, **is expected to**, **may**, **will continue**, **should**, **seeks**, **anticipates**, or similar expressions or the negative thereof or other variations thereof or comparable terminology, or by discussions of strategy, plans or intentions. These statements reflect the current views of HEL with respect to future events and are subject to certain risks, uncertainties and assumptions. Many factors could cause the actual results, performance or achievements of HEL to be materially different from the future results, performance or achievements that may be expressed or implied by such forward-looking statements. Some of these factors are discussed in more detail under **Risk Factors** and **Industry Overview**. Should one or more of these risks or uncertainties materialize, or should underlying assumptions prove incorrect, actual results may vary materially from those described in this Listing Statement as anticipated, believed, estimated or expected.

This Listing Statement is dated the 9th December 2020.

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1. Corporate & Advisors' Information

1.1.Corporate Information

Table 1: Contact Information for the Company

Physical Address	Homeboyz Entertainment Plc 8th Floor Galana Plaza, Galana Road, Kilimani P. O. Box 10518 – 00100 Nairobi, Kenya Tel: +254 (20) 2286000 Fax: +254 (20) 2223223 Mobile: +254 722 205339
Company Secretary	D&M Management Services 5th Floor, The Promenade, General Mathenge Drive, Westlands P.O. Box 66249 – 00800, Nairobi, Kenya.
Independent Auditors	Matengo & Associates Apartment B6, Wood Avenue, Lenana Road Kilimani P.O. Box 67603 00200, Nairobi, Kenya

Principal Bankers	Habib Bank AG Zurich Westlands Branch, P.O. Box 11111 – 00100, Nairobi, Kenya	
	NCBA Bank NCBA House, Masaba Road P.O. Box 44599, Nairobi, Kenya	
	Bank of Africa Uhuru Highway, P.O. Box 69562 – 00400 Nairobi, Kenya	

1.2.Advisers' Information

Table 2: Transaction Advisors and Agents

Nominated Adviser	AIBAXYS AFRICA 5th Floor, The Promenade General Mathenge Drive P.O.Box 11019 – 00100 Nairobi, Kenya
Transaction Adviser	Horizon Africa Capital Limited 5th Floor, The Promenade General Mathenge Drive, P.O. Box 103646 – 00101, Nairobi, Kenya
Legal Adviser	MMC ASAFO MMC Arches, Spring Valley Crescent Off Peponi Road, Westlands P.O. Box 75362 – 00200 Nairobi, Kenya.
Sponsoring Brokers	AIBAXYS AFRICA 5th Floor, The Promenade General Mathenge Drive, P.O.Box 11019 – 00100 Nairobi, Kenya
Company Registrar	C&R Group IKM Place, 1st floor Fifth Ngong Ave, Nairobi Tel Pilot: (+254) 20 2230518 Fax: (+254) 20 2211773

Office GSM: (+254) 791 086 964 /
726 971 599 / 737 095 124

Email: info@candrgroup.co.ke

2. Definitions and Abbreviations

Term/ Abbreviation	Description
"ACTFA"	African Continental Free Trade Area
"CAGR"	Compounded Annual Growth Rate
"CBR"	Central Bank Rate
"CDS"	Central Depository System
"CMA"	Capital Markets Authority of Kenya
"E&M"	Entertainment & Media
"EBITDA"	Earnings Before Interest, Tax, Depreciation and Amortization
"EPS"	Earnings Per Share
"ESOP"	Employee Stock Ownership Plan
"EV/EBITDA"	Enterprise Value-to-EBITDA Valuation Multiple
"GEMS"	Growth Enterprise Market Segment of the NSE
"HEL"	Homeboyz Entertainment Plc (formerly Homeboyz Entertainment Limited)
"KNCCI"	Kenya National Chamber of Commerce and Industry
"MoU"	Memorandum of Understanding
"MTA"	Music Technology Academy
"NSE"	Nairobi Securities Exchange
"P/E"	Price-to-Earnings Valuation Multiple
"NASI"	NSE All Share Index
"HBTV"	Homeboyz Television

3. Statement from the Chairman

On behalf of the Board of Directors of Homeboyz Entertainment Plc, it is my pleasure to invite you to participate in the continued growth and success of our media and entertainment outfit. Our growth story at Homeboyz continues to bring us to new milestones and new shores, thus placing new and increasing demands on capitalization to fund each novel venture and each new growth opportunity.

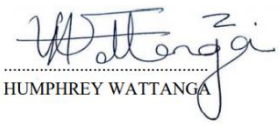
Today, we as the Homeboyz Entertainment fraternity are pleased to invite you to share in our success and our growth as we list by introduction on the Growth Enterprise Market Segment (GEMS) of the Nairobi Securities Exchange (NSE). GEMS enables small and medium sized firms like Homeboyz to raise substantial initial and ongoing capital, while benefiting from increased brand visibility and liquidity within a regulatory environment designed specifically to meet our needs.

We firmly believe that by leveraging the GEMS programme, Homeboyz will be strategically positioned for its next growth phase. Riding on the region's rapid economic growth, the company is presented with various unique opportunities that will enable it to scale its operations to become a significant player within the media and entertainment sector and across sub Saharan Africa by 2020. Our enhanced market positioning will enable us to take advantage of both existing and new growth opportunities as well as increase our capacity to unlock shareholder value through the sustenance of a positive earnings trajectory.

This Program surely marks an important milestone for the institution. From its humble beginnings as a DJ outfit in 1995, Homeboyz has grown to become a household name in Kenya synonymous with entertainment and cultural expression. Over the years, we have evolved in scale, capacity and experience to become a 150-staff unit driving the youth marketing, communications and advertising industry. With a proven track record our destiny is steadfast; we will increase our reach in sub Saharan Africa especially among the youth population and, in tandem, increase our youth customer touch points by leveraging on technology and innovation.

On behalf of the Board, management and staff, I wish to thank most sincerely everyone who has been with us through this voyage. I would particularly like to acknowledge the support of our partners, the Government, and above all, our clients. Let us all continue to work together to usher Homeboyz to even greater heights.

Yours sincerely,



HUMPHREY WATTANGA

Chairman, Homeboyz Entertainment Plc.

4. Features of the Listing

4.1. The Listing

Homeboyz Entertainment Plc (HEL) will be listed by Introduction on the Growth Enterprise Market Segment (GEMS) of the Nairobi Securities Exchange (NSE).

This will result in HEL cementing itself as the first company in the Media and Entertainment Sector to be listed on the GEMS segment of the NSE.

4.2. Purpose of the Listing

The primary purpose of the listing is to offer HEL and its shareholders the benefits of being listed on the securities market i.e. strategic positioning for capital raising, liquidity, price discovery, and brand visibility. In pursuing its intended vision and mission, the proposed listing will allow the Company to achieve the following:

i. Raise HEL's profile, creating new business opportunities.
ii. Access additional and broader range of capital options to finance future growth.
iii. Easier facilitation of mergers and acquisitions, with direct visibility to a listed market valuation
iv. Improve the ability to retain and incentivize employees via ESOPs.
v. Enable market value reference for shareholders.
vi. Enhances the profile and stature of the Company amongst employees, clients, suppliers, regulators and potential opportunities.
vii. Consolidate the group companies under the listing in the future.

4.3. Transaction Overview

Transaction:	**Listing by Introduction on the Growth Enterprise Market Segment of the NSE**
Issuer:	Homeboyz Entertainment Plc
Authorised & Issued Share Capital	63,200,000 ordinary shares of KES 0.50 each comprising a total authorised share capital of KES 31,600,000
Status:	Upon listing, freely transferable ordinary shares ranking pari passu with each other
Trades:	Shares will be fully dematerialized and uploaded into the CDS prior to trading
Compliance:	The Listing is subject to the requirements of the Articles, The Companies Act, The Capital Markets Act, the Nairobi Securities Exchange Listing Manual and the Central Depositories Act.
Listing Price Per share	KES 4.66 per share
Nominated Advisor	AIB-AXYS Limited

Market Segment	Growth Enterprises Market Segment (GEMS)
Expected Listing Date	21st December 2020
Governing Law	Kenyan law

4.4.Basis for Setting the Listing Price

The Listing Price of KES. 4.66 Per share was arrived at by HEL in consultation with Horizon Africa Capital Limited using two Valuation Methods; Price to Earnings (P/E) and Enterprise – EBITDA (EV/EBITDA) Multiples.

The listing price has therefore been determined on the following basis:

- A review of publicly listed companies in both developing & developed counties with a similar business model to HEL.
- An analysis of the P/E and EV/EBITDA trading multiples of the comparative companies in determining a valuation range for HEL.
- An application of a Discount Factor of 20% on the valuation multiples of the comparable companies to determine the appropriate Valuation ranges for HEL. This accounts for the differential in liquidity, scale and market conditions of the comparable companies relative to HEL.
- In cognizance of the dismal economic and industry performance recorded in 2020, the valuation multiples were discounted by a further 10% (COVID-19 discount) to end up with a final and total Discount Factor of 30%. The 10% COVID-19 discount is largely in line with the market performance of the local bourse whose NASI index has shed 11% year-to-date.
- A review of the audited financial accounts of HEL for the 12 month period ending 31st December 2019.

4.5.Key Listing Statistics

Listing Price Per Share	4.66
Authorized share Capital	KES. 31,600,000 - Divided into 63,200,000 ordinary shares of KES. 0.50 each
Issued & Fully paid up shares	63,200,000 Shares
Par Value per share prior to share split	KES 0.50
Number of shares allotted pre-listing	63,200,000
Net profit for the twelve (12) months ended 31 December 2019	KES 36 Million
Earnings per share (“EPS”) for the twelve (12) months ended 31 December 2019	KES 0.57

4.6.Transaction Timeline

Event	Date
Board Approval of Listing	28/02/2020
Approvals from the CMA	17/12/2020*
Approvals from the NSE	17/12/2020*
Deadline for uploading shares into CDS	18/12/2020
gListing and commencement of trading at the NSE	21/12/2020*
*Indicative dates	

4.7.Expenses of the Offer

The expenses of the Listing which will fall under the account of the Company are broken down as follows:

Professional Fee	KES
Nominated advisor	2,163,150
Transaction advisor	2,100,000
Legal Fees	2,800,000
NSE Listing Fees	285,000
Advertising & Marketing Costs	1,500,000*
Registrar fees	300,000
Stock Broker Fees	300,000
Total	**9,148,150**
*Indicative estimates	

5. Economic Overview

5.1.East Africa Economic Outlook

According to the East Africa Economic Outlook 2020, East Africa's economies are slowly transitioning from agriculture to services. The contribution of agriculture to the region's GDP went down from an average of 33.4 percent at the turn of the millennium to 28.3 percent in 2018. This was against an increase in the contribution of services to GDP from 44.6 percent in the early 2000s to 53.8 percent in 2018. This movement is more prominent in Seychelles, Eritrea, Kenya and Rwanda where services contribute 80,67, 60 and 47 percent of GDP, respectively. However, services are not the higher value-added activities in the region to trigger the desired structural transformation.

In both Ethiopia and Rwanda, real GDP growth has been driven by industry and services. The service sector has also been the main driver of growth in Tanzania and Kenya, followed by the agricultural sector, the main growth driver from the supply side. On the demand side, consumption has been the main driver of economic growth across East Africa.

East Africa's GDP growth was projected to be 5.1 percent in 2020 (pre COVID-19) and remaining the fastest growing region in Africa. All East African countries were projected to positively contribute to the growth, except for Sudan whose economy was projected to slow by 1.6 percent in 2020 due to conflict. The region's growth is largely driven by strong public spending in infrastructure, rising domestic demand, the benefit of improved stability, new investment opportunities and incentives for industrial development.

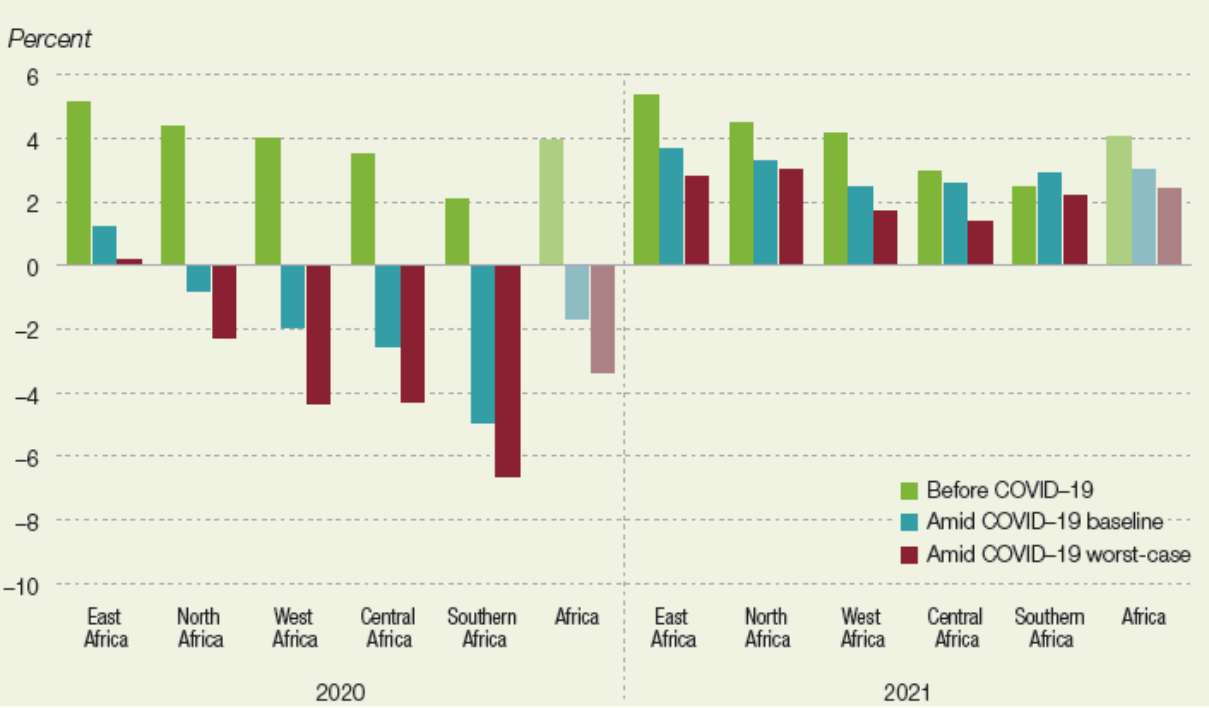


Figure 1: Regional GDP Growth projection for 2020 and 2021. Source: African Development Bank

However, with the COVID-19 related disruptions of fiscal expenditure plans, revenue mobilization, supply chains and international market demands, East Africa's growth will be

dampened significantly. Consequently, the region's 2020 growth is projected at 1.2 percent in the baseline scenario according to the African Development Bank. A recovery of 3.7 percent in the baseline scenario is however projected in 2021 under the assumption that COVID-19 would be contained in the short-to-medium term. It is however quite notable that the region's growth is expected to remain higher than that of the rest of the African regions.

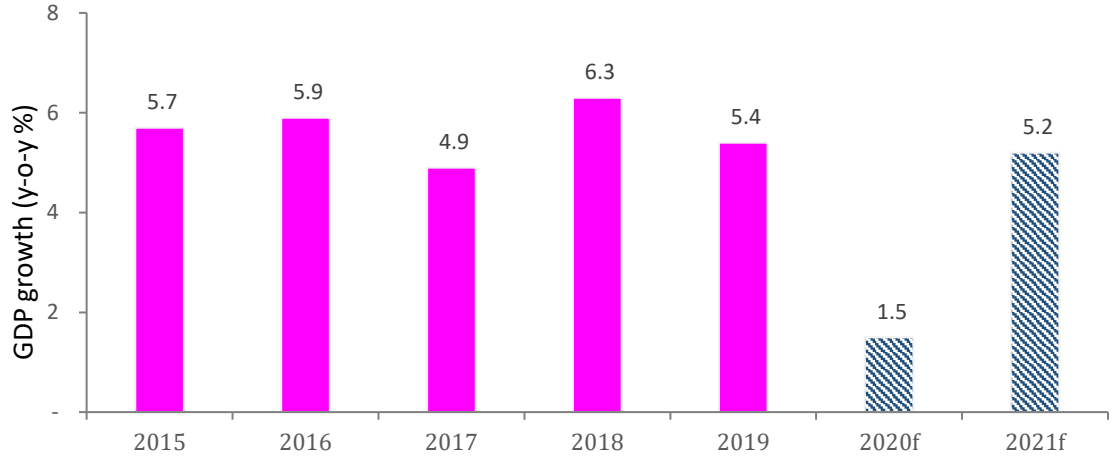
These projections also take into account other downside risks that could undermine the region's economic growth and development prospects. Major risks are agriculture's vulnerability to the vagaries of nature, heavy reliance on primary commodity exports, and—in oil-importing countries—rising oil prices. Another key risk is persistent current account deficits and related increases in external indebtedness.

5.2.Kenya Economic Outlook

5.2.1. GDP growth

According to the April 2020 Kenya Economic Update report by the World Bank, Kenya's economic growth averaged 5.4% in 2019 and, despite a deceleration from 2018, this growth level made the country one of the fastest growing economies in Sub-Saharan Africa. The recent economic expansion had been boosted by a stable macroeconomic environment, positive investor confidence and a resilient services sector.

Despite the projected slowdown in 2020 due to Covid 19, Kenya's GDP growth is projected to rebound in 2021



Source: World Bank

The slower growth in 2019 was associated with underperformance in agriculture, due to poor rains, and private investment, which weakened due to crowding out from widening fiscal deficits and, relatedly, limited private sector credit growth 7.1% year-on-year in December 2019.

Recently, Kenya's economy has been hit hard through supply and demand shocks on external and domestic fronts, interrupting its recent broad-based growth path. Apart from the ongoing COVID-19 pandemic, the locust attack which started early 2020, has affected many parts of Kenya, especially the North East. This has had a negative impact on the food security and growth of the agriculture sector in the country. Real gross domestic product growth is projected to decelerate from an annual average of 5.7% (2015-2019) to 1.5% in 2020. However, if it takes

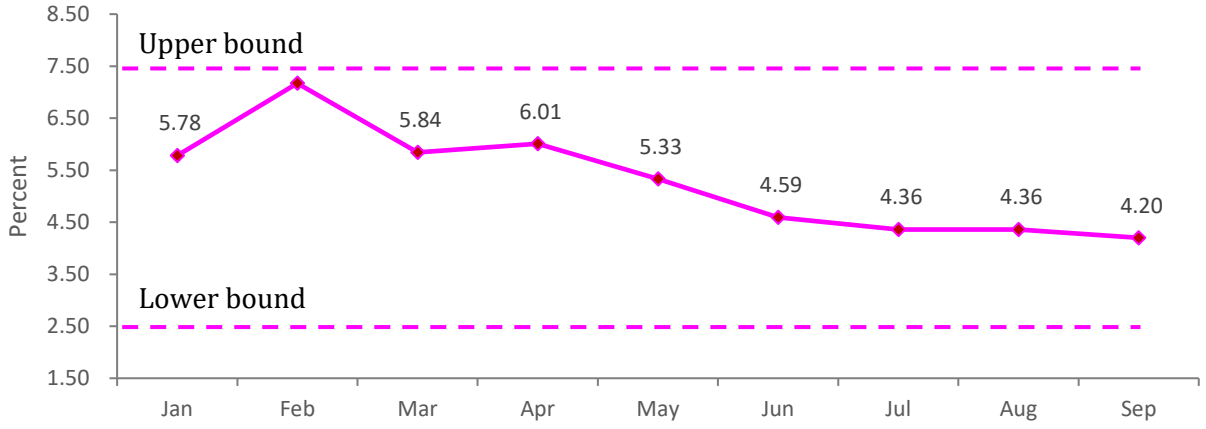
longer than expected to bring the pandemic under control, GDP could contract by 1.0% in 2020, and see a delay in the projected recovery to 5.2% growth in 2021.

The downside risks include a protracted global recession undermining Kenya's export, tourism and remittance inflows, further tightening of COVID-19 health response measures that disrupt the domestic economic activity, fiscal slippages and weather-related shocks.

Kenya's Big Four (B4) economic plan, introduced in 2017, focuses on manufacturing, affordable housing, universal health coverage, and food and nutrition security. It envisages enhancing structural transformation, addressing deep-seated social and economic challenges, and accelerating economic growth to at least 7% a year. By implementing the B4 strategy, Kenya hopes to reduce poverty rapidly and create decent jobs.

5.2.2. Inflation

Inflation in 2020 has remained within the government's target range of 5±2.5



Source: Central Bank of Kenya

Inflation remains within the government's target range of 5±2.5 percent in 2019. In March 2020, inflationary pressures picked up to 6.1% from 4.4% in March 2019 due to increased prices for foods in the CPI basket. Food inflation increased to 10.6% in March 2020 from 2.8 % in March 2019. Core inflation that excludes food and energy to capture underlying inflation trends, decreased to 2.9% in March 2020, from 3.1% in March 2019.

Due to the adverse effects of COVID-19 on the economy, demand and supply shocks have hit all sectors—especially tourism, industry, and agriculture, still suffering from the locust invasion. On the demand side, containment measures will reduce household consumption, slow investment, and reduce exports and imports. Escalation in supply shocks could therefore stoke higher prices for imports and domestically produced products, fuelling inflation, which is projected to tick up 5.6–5.7% in 2020, against 5.2% in 2019.

5.2.3. Interest Rates

In response to the adverse impact of COVID-19 on Kenya's economy[1], the monetary policy committee (MPC) has lowered its policy rate and reduced the cash reserve ratio to support

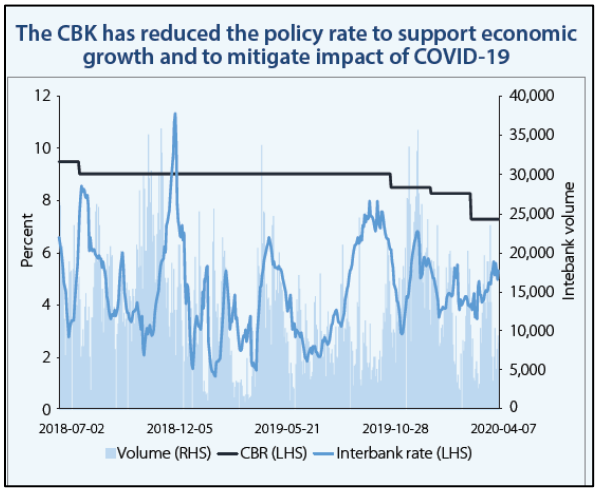
[1] Kenyan Economic Update 2020, World Bank

economic activity. After the repeal of interest caps in October 2019, the monetary policy committee has reduced the Central Bank Rate (CBR) for three consecutive meetings.

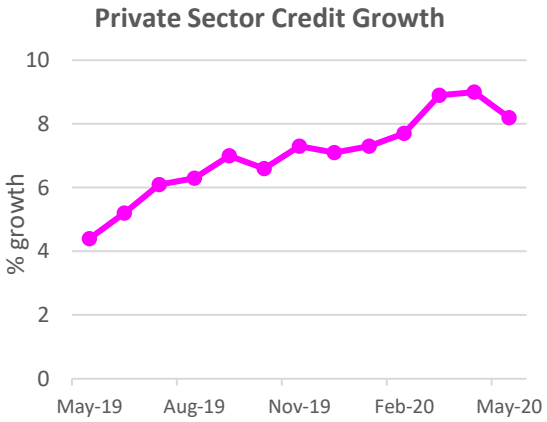
In November, the CBR was reduced by 50 basis points to 8.5 percent (from 9 percent), followed by a further cut by 25 basis points to 8.25 percent in January 2020. Again, in March 2020, the CBR was reduced by 100 basis points to 7.25 percent. In addition, the cash reserve ratio was reduced from 5.25 percent to 4.25 percent to provide extra liquidity of about Ksh.35 billion to commercial banks. These measures are expected to prompt commercial banks to lower interest rates for borrowers, while also supporting borrowers that could be distressed from the COVID-19 shock.

The year-on-year private sector credit growth increased modestly to 7.7 percent in February 2020 (from 3.4 percent in February 2019). Credit to the private sector is still weak and with likely increases in non-performing loans, commercial banks are expected to be more cautious while the crisis persists. MSMEs could encounter greater challenges to access financing with reduced demand due to the COVID-19 containment measures.

The average interbank rate has picked-up in March 2020 to 4.6 percent, from about 4.2 percent in February 2020 reflecting narrowing liquidity among banks and rising uncertainty. Nonetheless, since the lifting of interest rate caps in November 2019, the interbank rate has decreased by some 250 basis points from 6.9 percent in October 2019 to 4.6 percent in March 2020, suggesting that liquidity flow across top and bottom tier banks has improved.



***Source**: Central Bank of Kenya*



***Source**: Central Bank of Kenya*

5.2.4. Foreign Exchange

With over half of Kenya's public debt stock being external, exposure to foreign currency risk remains high. The main exposure is to the U.S. dollar at 71.3 percent, followed by the Euro at 15.4 percent.

Reflecting the US dollar's strong appreciation against most currencies and Kenya being further hit by reduced diaspora remittances, lower tourism and export earnings, and reversed capital flows, the Kenyan Shilling has depreciated against the US Dollar by 5.92% from the 01st of January 2020 to the 01st of August 2020.

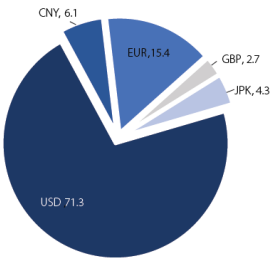
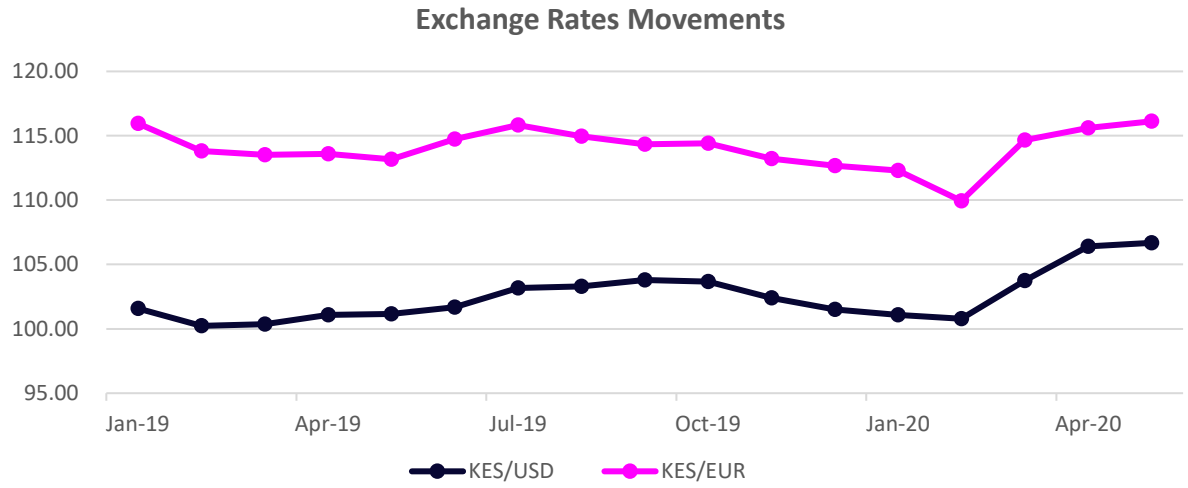


Figure 1: Exposure of public debt to foreign currency



***Source**: Central Bank of Kenya*

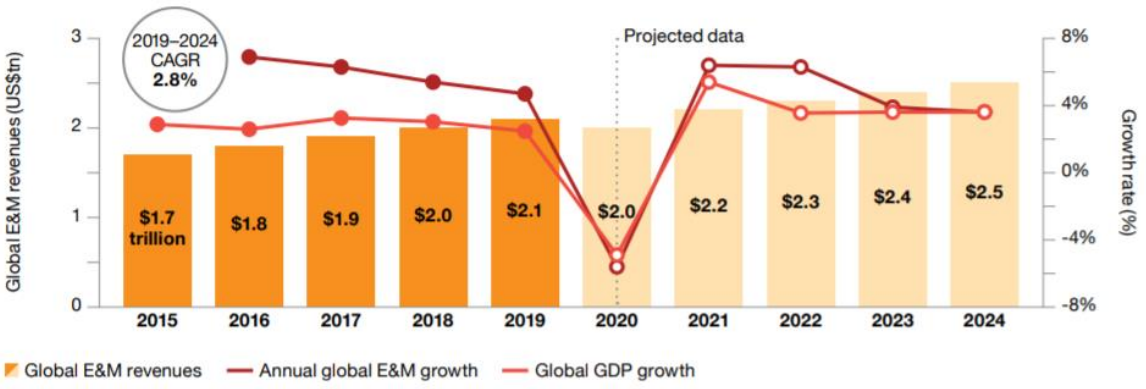
5.3.Industry Overview

5.3.1. Global Outlook

Consumers are embracing the expanding opportunities to enjoy media experiences uniquely tailored to their own personal preferences, contexts and schedules. Increasingly and never idle, empowered consumers around the world want to exert greater control over how and when they experience media. They do so by managing their media consumption via smartphones and an expanding range of devices, by curating their personal selection of channels via over the top services, and by bringing more digital media content into their lives via smart homes and connected cars.

As PWC's Global Entertainment & Media Outlook 2020 – 2024 shows, despite the adverse effects of COVID-19, the **Entertainment & Media (E&M) industry's spending** will continue to rise at a rate faster than overall economic growth, **at a projected 2.8% CAGR through 2024**.

In 2020, the E&M industry absorbed the historic shock of COVID-19, which toppled long-standing business models, amplified existing trends and forged new opportunities. As the global economy shrinks for the first time since 2009**, the US$ 2.1tn industry is forecast to contract in 2020 by 5.6%** but rebound in 2021.



Note: 2019 is the latest available data. 2020–2024 values are forecasts.
Source: *PwC Global Entertainment & Media Outlook 2020–2024* (www.pwc.com/outlook), Omdia, World Bank, IMF

COVID-19 has rendered some popular activities off-limits. By April 2020**, more than 750 festivals globally had been cancelled or postponed**. Not surprisingly, events—live music, cinema and trade shows—suffered the most dramatic revenue declines in their history in 2020, falling 63.8%, and are not expected to regain their pre-pandemic levels until at least 2024.

The pandemic has however created opportunities for new business models. As businesses strive to meet consumers where they are—predominantly at home and online—they are creating new arrangements and combinations aimed at opening up new revenue opportunities:

I. **Digital platforms have morphed into performance spaces**, as when London's Wireless Festival streamed recorded virtual reality (VR) music performances to a homebound global audience of over 130,000 people in mid-2020. Similarly, more than 100 artists and celebrities from across the African continent and the diaspora performed in the WAN Show broadcast online by the Worldwide Afro Network and carried by 200 African channels to mark Africa Day on 25th May 2020.

II. Moreover, **E&M segments are being transformed much earlier than was originally projected**. As recently as 2015, box office revenue was three times that of subscription video on demand (SVOD). However, SVOD revenue will overtake box office in 2020 and is projected to surge away in the coming five years, reaching more than twice the size of box office in 2024. Similarly, the long-running transition in newspapers from print to digital has been fast-forwarded several years, cutting into papers' print revenues.

III. **Gaming is also integrating e-commerce into its experience to an ever greater extent**, capitalising on the closure of many physical retail spaces. In India, empty stadiums for Indian Premier League cricket matches have spurred the development of digital visual effects to give TV viewers an immersive experience.

IV. **E-Sports is another segment that's capitalising on new technologies amid lockdowns**, and in which usage of Virtual Reality (VR) is growing apace. Rising confidence in the sector's outlook was underlined in September 2020 when UK-based Guild E-Sports, part-owned by former soccer player David Beckham, announced plans to raise £20mn on the London Stock Exchange. The global E-Sports market is expanding rapidly. NewZoo, a market intelligence firm, predicts global revenues will grow to $1.1bn this year, with total audiences increasing to 495m, a year-on-year growth of 11.7%. Streaming revenue was

forecast to hit $18.2m globally, up 33% from 2019, but could now be significantly higher given the pandemic[2].

5.3.2. Africa Outlook

Africa's entertainment and media (E&M) sector—especially in Nigeria, Kenya, and South Africa—has grown in leaps and bounds over the last two decades as artists have risen from relative international obscurity to global recognition. The E&M sector—which encompasses books, movies, internet, newspapers, radio, TV, and video games—in these three countries is projected to grow at a faster rate than that of the world's average. The music industry largely contributes to the growth of the E&M sector. In Nigeria for instance, music is the fastest-growing E&M sector, behind the internet.

Snapshot

South Africa, 2018 (US$ millions)

	2018
Total E&M revenue	9 172
Digital E&M revenue	4 509
Nondigital E&M revenue	4 662
Consumer revenue	7 072
Internet access revenue	3 723
Advertising revenue	2 100
Largest advertising segment — TV and video	515
Largest consumer segment —TV and video (excluding Internet access)	1 866

Nigeria, 2018 (US$ millions)

	2018
Total E&M revenue	4 467
Digital E&M revenue	3 355
Nondigital E&M revenue	1 111
Consumer revenue	4 048
Internet access revenue	3 083
Advertising revenue	419
Largest advertising segment – TV and video	156
Largest consumer segment – TV and video (excluding Internet access)	576

Kenya, 2018 (US$ millions)

	2018
Total E&M revenue	1 815
Digital E&M revenue	1 186
Nondigital E&M revenue	629
Consumer revenue	1 511
Internet access revenue	1 025
Advertising revenue	304
Largest advertising segment – TV and video	99
Largest consumer segment – TV and video (excluding Internet access)	216

Ghana, 2018 (US$ millions)

	2018
Total E&M revenue	1 206
Digital E&M revenue	987
Nondigital E&M revenue	219
Consumer revenue	1 032
Internet access revenue	942
Advertising revenue	174
Largest advertising segment – TV and video	89
Largest consumer segment – TV and video (excluding Internet access)	41

Tanzania, 2018 (US$ millions)

	2018
Total E&M revenue	598
Digital E&M revenue	360
Nondigital E&M revenue	238
Consumer revenue	504
Internet access revenue	326
Advertising revenue	94
Largest advertising segment – Radio	32
Largest consumer segment – TV and video (excluding Internet access)	132

Source: entertainment & Media Outlook: 2019-2023, An African Perspective, PwC, Ovum

- South Africa total music revenue will grow at a compound annual growth rate (CAGR) of 4.4 percent to R2.4 billion ($178 million) by 2020, fuelled by surging digital music streaming revenue.

[2] https://africanbusinessmagazine.com/sectors/technology/global-esport-industry-eyes-african-market/

- As noted above, Nigeria remains one of the world's fastest-growing E&M markets with overall growth of 15.7 percent in 2018, reaching $3.8 billion. Nigeria's music industry alone is expected to grow at a breath-taking 12.9 percent CAGR—almost doubling from $47 million in 2015 to over $86 million in 2020—on the back of strong mobile music revenue.
- Similar to Nigeria, Kenya will enjoy strong growth in the next five years as a result of its strong mobile music sector. Kenya's total music industry revenue is projected to rise from $19 million today to $29 million in 2020.

5.3.2.1. E-Sports Segment

The E-sports segment has over the last few years been the fastest growing area of the video games market and as previously mentioned, is projected to cross the US 1bn mark globally in 2020 despite the Covid-19 pandemic.

According to Future Source[3], sponsorship accounts for the majority share of industry income, contributing to over 40% of total global revenues. With all the buzz around the sector and the promise of mainstream success, established E-Sports sponsors such as Intel, Razer and HyperX are now being joined by non-incumbent brands such as Coca Cola, McDonalds and Mercedes Benz. This is triggering significant tournament prize pools, with global prizes totalling $205 million for the 4,000 plus events hosted last year. In comparison, men's tennis ATP Tour's prize pool for 2018 totalled $135 million.

Africa's growing young population and uptake of internet and smartphone technology has led some industry players to cast their eye towards the continent. Future Source estimates annual audience size in the region will grow from 30 million in 2020 to 53 million by 2023. In March 2020 , Nodwin Gaming, an Indian licensor and creator of E-Sports properties that provides media rights for live events and programming and claims to have engaged over 20m gamers, announced its expansion into South Africa with the opening of a new office. The firm has also invested in Nigeria and Kenya.

In Africa, E-Sports is most prominent in South Africa with revenues reaching 46 Million Rand in 2018, representing a 47% growth from the prior year. 72% of the revenue in 2018 was from sponsorships and streaming advertising. Pre-COVID, the total E-Sports revenue in South Africa was anticipated to reach 138 Million Rand, which translates a 24.7% CAGR between 2018 and 2023.

	Historical data					
Category	**2014**	**2015**	**2016**	**2017**	**2018**	**2019**
E-sports media rights revenue	0.4	0.7	1.5	3.4	5.9	8.7
E-sports streaming advertising revenue	1.7	3.3	5.7	11	16	21
E-sports sponsorship revenue	1.7	2.7	5.6	11	17	23
E-sports consumer ticket sales revenue	0.0	0.0	0.1	0.4	0.9	2.1
E-sports consumer contribution revenue	1.5	2.4	3.2	5.1	6.5	8.0
Total	**5.3**	**9.1**	**16**	**31**	**46**	**63**
YOY growth (%)		***71.7%***	***76.9%***	***91.9%***	***47.6%***	***37.7%***

Sources: Entertainment and media outlook: 2019–2023, An African perspective, PwC, Ovum, www.pwc.co.za/outlook

[3] https://www.futuresource-consulting.com/the-source-newsletter/E-Sports-to-break-the-billion-dollar-barrier-in-2020/?locale=en

5.3.3. Kenya's Outlook

Pre-COVID, PWC's Entertainment and Media Outlook: 2019 -2023 report estimated that Kenya's E&M market is set to see growth at a 10% CAGR over the next five years, reaching nearly US$ 3.0 billion in 2023. In 2018, the market rose by 13.0% year on year to make US$ 1.8 billion. The growth is mainly attributed to the Internet and Video games segments that grew at 18.0% and 19.6% respectively.

NB: *The projections shown below are based on assumptions made Pre COVID -19. As such the projections, particularly in 2020 and 2021, are unlikely to be achieved. However, given the dynamic nature of the industry and responses by businesses to shift focus to more digital spaces, it is anticipated that only a few segments such as Cinema and Newspapers will see a significant drop in revenues. The other categories are however likely to reach and possibly surpass the revenue levels shown below.*

Kenya: Total E&M market, 2014–2023 (US$ millions)

Total E&M (US$ millions)											
Kenya	Historical data					Forecast data					CAGR %
Category	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2018–23
Books	37	38	36	36	36	37	38	39	40	41	
YOY growth (%)		*2.2%*	*-5.0%*	*-0.3%*	*0.3%*	*2.5%*	*2.7%*	*2.4%*	*2.3%*	*1.8%*	*2.3%*
Business-to-business	11	12	14	15	17	18	20	22	24	27	
YOY growth (%)		*11.8%*	*9.8%*	*10.4%*	*10.7%*	*9.1%*	*9.4%*	*10.7%*	*9.2%*	*11.8%*	*10.0%*
Cinema	4.6	5.0	5.2	5.8	6.2	6.7	7.2	7.6	8.1	8.6	
YOY growth (%)		*8.7%*	*4.0%*	*11.5%*	*6.9%*	*8.1%*	*7.5%*	*5.6%*	*6.6%*	*6.2%*	*6.8%*
Internet	467	594	795	925	1 091	1 261	1 443	1 630	1 828	2 031	
YOY growth (%)		*27.3%*	*33.8%*	*16.3%*	*18.0%*	*15.6%*	*14.4%*	*13.0%*	*12.1%*	*11.1%*	*13.2%*
Magazines	68	70	72	75	77	80	83	86	88	91	
YOY growth (%)		*3.5%*	*3.1%*	*3.7%*	*2.9%*	*3.0%*	*3.9%*	*3.5%*	*3.0%*	*3.2%*	*3.3%*
Music	18	19	21	23	25	25	25	24	24	24	
YOY growth (%)		*7.2%*	*6.2%*	*10.7%*	*8.8%*	*0.0%*	*-0.8%*	*-1.2%*	*-0.4%*	*-2.1%*	*-0.9%*
Newspapers	81	83	81	82	84	86	88	90	91	92	
YOY growth (%)		*2.9%*	*-2.5%*	*1.6%*	*2.1%*	*2.4%*	*2.2%*	*1.9%*	*1.8%*	*1.2%*	*1.9%*
Out-of-home	22	24	25	27	29	30	32	33	35	36	
YOY growth (%)		*10.0%*	*5.4%*	*7.1%*	*5.5%*	*5.2%*	*5.0%*	*4.7%*	*3.9%*	*3.5%*	*4.5%*
Radio	77	84	81	86	92	99	106	113	121	128	
YOY growth (%)		*9.4%*	*-4.0%*	*6.7%*	*7.1%*	*7.0%*	*7.1%*	*6.9%*	*6.7%*	*6.2%*	*6.8%*

Total E&M (US$ millions)											
Kenya	Historical data					Forecast data					CAGR %
Category	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2018–23
TV and video	225	255	271	292	315	339	360	379	398	416	
YOY growth (%)		*13.1%*	*6.6%*	*7.7%*	*7.8%*	*7.4%*	*6.2%*	*5.3%*	*5.2%*	*4.5%*	*5.7%*
Video games	39	46	55	64	83	100	114	126	139	153	
YOY growth (%)		*18.4%*	*19.5%*	*16.8%*	*29.6%*	*21.0%*	*13.7%*	*10.5%*	*10.7%*	*9.6%*	*13.0%*
Total	**1 034**	**1 213**	**1 434**	**1 605**	**1 815**	**2 029**	**2 252**	**2 480**	**2 719**	**2 961**	
YOY growth (%)		***17.3%***	***18.2%***	***11.9%***	***13.0%***	***11.8%***	***11.0%***	***10.1%***	***9.6%***	***8.9%***	***10.3%***

Source: entertainment & Media Outlook: 2019-2023, An African Perspective, PwC, Ovum

Kenya enjoys an impressive standard of internet connectivity compared with most of its regional peers. Continuing investment by government, telcos and tech companies will sustain this growth trend for the foreseeable future as internet services are extended to an increasing number of Kenyans, while the standard of service available to existing subscribers improves too.

TV and video are another weighty contributor to overall revenue, responsible for 17% of Kenya's total revenue for 2018. MultiChoice continues to lead the pay-Tv market across the region maintaining important content rights, including key sports content.

OTT video has been growing rapidly from a low base but is still held back by low broadband penetration and poor infrastructure outside the largest cities, limiting opportunities for

international SVOD players like Netflix and Amazon. There may be more potential for the streaming market through mobile Internet take-up.

A further bright spot is video games, where revenue will rise from US$ 83million in 2018 to US$ 153million in 2023. In particular, social/casual gaming is set for an 18.6% CAGR to 2023, aided by healthy growth in smartphone ownership. E-Sports is also anticipated to pick up and drive growth in this segment. As data from the Kenya National Bureau of Statistics (KNBS) shows, there has been an increased investment in telecommunications gadget imports, including computers, laptops and smartphones, which surged by more than half to Sh8.01 billion in the four months of Covid-19 lockdown. This was an increase from the Sh5.18 billion that Kenyans splashed on tech items in the four months to July last year, reflecting a 56.29 percent growth.

Total Kenyan advertising revenue is forecast to reach US$ 427 million in 2023, rising at a 7.0% CAGR. TV, radio and increasingly the internet are the key contributors. Radio is vibrant in Kenya, with Nairobi alone having 29 stations. Kiswahili speaking stations are the most popular across all age groups, accounting for 44% of radio listenership across the total population – reflective of radio's capacity to reach a wide range of communities.

Kenya: Advertising expenditure by E&M segment, 2014–2023 (US$ millions) | *7.0% CAGR expected to 2023*

Total advertising market (US$ millions)											
Kenya	Historical data					Forecast data					CAGR %
Category	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2018–23
Business-to-business	3.6	3.9	4.2	4.6	5.1	5.4	5.9	6.7	7.7	9.2	
YOY growth (%)		*8.3%*	*7.7%*	*9.5%*	*10.9%*	*5.9%*	*9.3%*	*13.6%*	*14.9%*	*19.5%*	*12.5%*
Cinema	0.8	0.9	1.0	1.2	1.3	1.5	1.7	1.8	2.0	2.2	
YOY growth (%)		*12.5%*	*11.1%*	*20.0%*	*8.3%*	*15.4%*	*13.3%*	*5.9%*	*11.1%*	*10.0%*	*11.1%*
Internet	18	24	29	34	40	47	53	59	67	73	
YOY growth (%)		*33.3%*	*19.3%*	*16.2%*	*17.8%*	*16.8%*	*13.8%*	*12.3%*	*12.8%*	*9.3%*	*13.0%*
Magazines	11	11	11	12	12	12	12	12	13	13	
YOY growth (%)		*3.8%*	*3.7%*	*2.7%*	*3.4%*	*0.0%*	*1.7%*	*1.6%*	*1.6%*	*1.6%*	*1.3%*
Music	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	
YOY growth (%)		*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*
Newspapers	37	39	36	36	37	38	38	39	40	41	
YOY growth (%)		*4.6%*	*-7.5%*	*1.1%*	*2.2%*	*2.2%*	*2.1%*	*2.1%*	*2.3%*	*2.5%*	*2.2%*
Out-of-home	22	24	25	27	29	30	32	33	35	36	
YOY growth (%)		*10.0%*	*5.4%*	*7.1%*	*5.5%*	*5.2%*	*5.0%*	*4.7%*	*3.9%*	*3.5%*	*4.5%*
Radio	77	84	81	86	92	99	106	113	121	128	
YOY growth (%)		*9.4%*	*-4.0%*	*6.7%*	*7.1%*	*7.0%*	*7.1%*	*6.9%*	*6.7%*	*6.2%*	*6.8%*
TV and video	75	84	82	90	99	109	119	127	136	144	
YOY growth (%)		*12.1%*	*-2.9%*	*9.7%*	*10.3%*	*10.4%*	*8.5%*	*7.2%*	*7.4%*	*5.9%*	*7.9%*
Video games	0.0	0.0	0.0	0.0	0.1	0.1	0.1	0.1	0.1	0.1	
YOY growth (%)			-	-	-	-	*0.0%*	*0.0%*	*0.0%*	*0.0%*	-
Total advertising	**237**	**264**	**261**	**280**	**304**	**329**	**353**	**377**	**403**	**427**	
YOY growth (%)		***11.1%***	***-1.1%***	***7.6%***	***8.3%***	***8.3%***	***7.4%***	***6.7%***	***7.0%***	***5.9%***	***7.0%***

Source: entertainment & Media Outlook: 2019-2023, An African Perspective, PwC, Ovum

A 6.8% CAGR to 2023 will push radio advertising, which currently stands at US$ 92million, well above US$ 100million by the end of the forecast period. TV advertising is another segment to be fractionally off the US$ 100million mark in 2018 and will push on to US$144 million by 2023. Internet advertising will see the fastest ad growth to 2023 at a CAGR of 13.0%.

According to PWC, "Today's media companies need to do three things to succeed: innovate around the product and user experience; develop seamless consumer relationships across distribution channels; and put mobile (and increasingly video) at the heart of the consumer's experience."

6. Company Overview

Homeboyz's incredible journey began in 1992, when a couple of music lovers got together to form a small, organized deejaying unit called the Homeboyz DJs. Its dream was to enrich the essence of the entertainment industry in Kenya which hardly existed at that time. From small house parties to weddings, the Homeboyz DJs always thrilled their audience with their eccentric live mixes which went hand in hand with their now world-famous motto, 'Keep the Krowd Movin' which basically means to keep the people dancing.

The Homeboyz DJ unit laid the foundation to what has now become East and Central Africa's biggest and most influential media production and entertainment Company. With a sound understanding of the media and entertainment industry, the Homeboyz brand has grown and successfully expanded its product offering from its initial core business (deejaying) to an array of fields within the media production and entertainment arena.

Homeboyz currently operates four Audio Recording studios, two TV production facilities, an events management division, a full audio and visual rental and maintenance department, and a music academy.

One of the achievements that Homeboyz is especially proud of is breaking into the animation industry with the famous TingaTinga Tales, a co-production with the UK's Tiger Aspect Productions. The 52-episode series was launched in February 2010 on the BBC's pre-school channel CBeebies and was also sold to Playhouse Disney in the United States. Homeboyz has also partnered with **Warner Bros**, the Time Warner subsidiary, and one of the world's largest producers of film and TV entertainment, in the creation of the popular video game called Pamoja Mtaani.

In 2009 Homeboyz Entertainment Limited bought a bottled water company at a cost of Kenya Shillings One Hundred Million (Kes 100,000,000) and pumped in additional money in re-branding and marketing of the firm's H2O Water, through H2O Beverages. The company divested from the Water Business in 2011.

In 2016, Homeboyz partnered with the world renowned **Publicis Groupe** to enable Homeboyz transform into an integrated marketing and communications agency and offer an expanded array of services including public relations, digital communication and media buying among others. The deal has also enabled Homeboyz to tap into Publicis Groupe's global footprint, knowledge base and best practices.

Suffice to say, Homeboyz commands the largest following in media production and entertainment in East & Central Africa. Homeboyz now aims to become the main player in the African Entertainment scene as well as a renowned and respected media and entertainment company globally.

Homeboyz recognizes a growing convergence across the entertainment and media industry, and boundaries between previously distinct sectors are now blurring in the battle for the attention of the youth consumer in a world which is rapidly digitizing. The ever-increasing use of mobile phones amongst the youth in Africa allows Homeboyz to angle services and products towards E&M, a trend which demands industry-wide cooperation.

Homeboyz also appreciates that majority of the Kenyan youth have shunned traditional media such as newspapers, television and radio stations and instead prefer to read and watch news online and access information through social media platforms, entertainment news apps and blogs. Millennials, whose population demography continues to grow, are fans of the Internet with 60 per cent sourcing information from the platform and making it their primary source of news.

6.1.Business Segments

Homeboyz Entertainment Plc has seven distinct business segments operating under the Homeboyz Entertainment brand. The business segments have either been developed from green field opportunities by the company over the years or acquired through partnerships.

Homeboyz' business segments currently include: events management, soundtracks, DJ agency, barrier, stage and generator hire, bleachers, e-commerce products and public relations.



Events management

Homeboyz has an unrivalled wealth of experience in executing large-scale events including global conferences, conventions, concerts, festivals and ceremonies. Over the years Homeboyz has continued to deliver top-notch event management services to numerous high-profile clients owing to its wide industry networks and highly skilled staff.



Soundtracks

Homeboyz has an experienced and dedicated team with different specialties and unique abilities when it comes to sound and acoustic design. The company has gained a good reputation for providing the best possible sound, customized for different events ranging from weddings to product launches and entertainment and cultural festivals.



Barrier, stage and generator hire

The Company owns complimentary equipment used in the execution of public events allowing for a wholesome and centralized service offering. Barrier, stage and generator are must-have equipment for any event and therefore constitute a focal point of Homeboyz services.



Public relations

Homeboyz partnered with Publicis Africa Group in 2016, one of the world's largest communications agencies, to provide the Kenyan market with a more rounded and global standard communications service that speaks to the consumer from all angles. The Homeboyz-Publicis partnership has seen Homeboyz undertake several communications and public relations mandates with global brands such as Microsoft, Samsung, Google and LG amongst many others.



DJ Agency

Homeboyz runs a full-fledged DJ agency specializing in providing disk jockey services for both corporate and public entertainment events.



Bleachers

The Kenyan sporting scene has grown in leaps and bounds over the past decade. As a result, the number of live sporting events has similarly grown to reflect the growth within the sports industry. Homeboyz, which is actively involved in organising sporting events across the country, provides bleachers as part of its wide offering.

E-commerce products

Homeboyz's versatility has allowed it to grow beyond its core business to address the diverse challenges of the modern day consumer. With a proven track record in spearheading technological innovation, Homeboyz boasts a number of tech-products within the e-commerce space which is fast-rising as a bellwether in the way customers shop and pay for goods and services. Some of these products include Swype and Fixxit just to mention a few.

Homeboyz's business brands are as follows;

Y-HUB is an online learning, networking and entertainment digital site where the youth can learn, network, access entertainment news. The YHub is a dedicated social enterprise and advocacy space for all youth to come together through an online portal.

Our team of developers and web designers comprises of hackathon champions and technical rescue gurus, who have demonstrated agility when it comes to creating technical products, programmes, electronic tools, services and applications customized for specific brand requirements.

Music Technology Academy	This is East Africa's most credible and specialized teaching faculty in DJing, Music Production, Animation and Media skills. Housing a network of the nest brains on mixers and media desks, MTA provides hands-on training for careers in the entertainment industry.
HOMEBOYZ aktivate ASK. THINK. DO	Homeboyz Aktivate has unrivalled capacity in experiential marketing and product activation capable of creating and executing the most eye-catching and high impact sampling, mobilizing and engagement exercises for brands.
swype	Swype is the leading payment gateway, cash lite and e-ticketing solutions provider that offers an array of technological solutions and services for events ticketing, payment solutions and registrations management. This provides tabulation of invaluable information for tracking audience and consumer spending behaviour.
HOMEBOYZ FOUNDATION Inspire. Mould. Empower	Founded in 2010 to provide a platform where young people can access the skills, tools and resources to be empowered. The Foundation's mandate is to empower young people to reach their potential. It is inspired by the journey and experiences of The Homeboyz Group, the Foundation's key benefactors. The Foundation advances youth empowerment through entrepreneurship, talent development, skills advancement and civic engagement to young people. The foundation also runs the Homeboyz Rugby Club which is one of the country's most successful rugby club.

6.2.Other related entities

Homeboyz Entertainment Plc does not own or have shareholding in any other entity. The following companies, however, share common shareholding or directorship with Homeboyz but are not owned by Homeboyz:

6.2.1. Homeboyz Radio 2017 Limited

Name	**Homeboyz Radio 2017 Limited**
Company Number	PVT-LRUBB6
Shareholders and directors	Michael Agwingi Rabar – 245 ordinary shares John Juma Obonyo Rabar – 245 ordinary shares Radio Africa Limited – 510 ordinary shares
Directors	Michael Agwingi Rabar John Juma Obonyo Rabar Rose Nyaguthii Maina

6.2.2. Homeboyz Holdings Limited

Name	**Homeboyz Holdings Limited**
Company Number	C. 158245
Shareholders and directors	Michael Agwingi Rabar – 700 ordinary shares John Juma Obonyo Rabar – 100 ordinary shares Rose Nyaguthii Maina – 100 ordinary shares Alfayo Ochero Rabar – 100 ordinary shares
Directors	Michael Agwingi Rabar John Juma Obonyo Rabar Rose Nyaguthii Maina Alfayo Ochero Rabar

6.3.Strategic Partnerships

Publicis Groupe Africa



Publicis Groupe Africa is the fastest growing network of communication agencies in Africa. It is a part of the Publicis Groupe, one of the world's largest communications holding companies, and consists of companies that specialize in all aspects of the modern communication mix. Publicis Groupe Africa encompasses Saatchi & Saatchi, Publicis Worldwide, Leo Burnett, Arc, Starcom MediaVest, Zenith Optimedia and Digitas, and serves a wide range of multi-national and local client companies across the continent. The Group is developing into the most client-valued network in Africa. Valued for unparalleled understanding of the African economic and commercial landscape, insights into the behaviour of local consumers, and the ability to deliver business building, global-quality integrated communication solutions.

Homeboyz Entertainment signed a strategic partnership with Publicis Groupe in 2016 as it seeks to broaden its suite of services. The partnership will see Homeboyz morph into an integrated marketing and communications agency and offer an expanded array of services that will include public relations, digital communication and media buying among others. This in addition to creative design and advertising services already on offer.

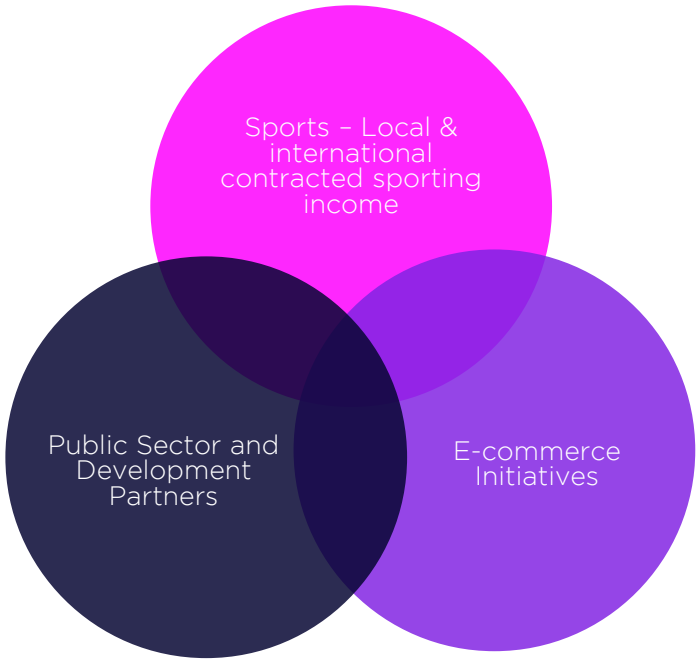
7. Sustainability Report

Homeboyz has come a long way to become a pace-setter and key player in the context of the African entertainment scene. Starting out as a DJ outfit in the mid-nineties, Homeboyz's success story has been one of great resilience, constant reinvention and consistent relevance within a highly competitive and dynamic industry.

This is, however, not to say that it has been all smooth sailing. Over the years, the Company has had to grapple with a number of challenges including price under-cutting, high industry volatility, failed products and restricted access to cheap capital among many others. Most recently, Homeboyz's growth has been severely impacted by the COVID-19 pandemic which saw the Government impose restrictions on public gatherings – a key driver of the events management industry.

Amidst the pandemic period, Homeboyz's management was able to remodel the business in response to the prevailing market conditions as well as to provide a long-term cure to the general industry instability. The new business model is underpinned by three key strategic pillars that will cushion the business against future market volatility and guarantee stability in the top-line growth. These key pillars are anchored up on long-term contracted income derived from strategic partnerships with stakeholders in the sports industry, public sector and development partners and finally the e-commerce sector.

This is certainly a paradigm shift from the traditional events management business as it presents a unique opportunity for the media giant to lock in revenues over a long period of time (three to ten years). Critically, Homeboyz has been able to secure a number of lucrative contracts for major sporting events such as the Magical Kenya Open, World (Safari) Rally, Kenya Rugby League, E-sports League and Athletics Kenya. The Company through its extensive networks and previous track record within the public sector has also signed a three-year MoU with the Kenya National Chamber of Commerce and Industry (KNCCI) that will see to the piloting of SME incubation hubs in all the KNCCI 47 County chapters.



Homeboyz is confident that the new business model will not only anchor the firm's revenue growth but will also provide the necessary impetus for business diversification in addition to unlocking new and interesting partnership opportunities for the media giant.

7.1.Business diversification

Homeboyz's dynamic business model allows it to not only spot shifting trends within the market but also take advantage of novel market opportunities that enhance HEL's overall growth. These opportunities, where established as a proper fit for the business, build on the existing business revenue lines and further contribute towards a stable top-line.

7.1.1. E-Sports

E-Sports remains one of the fastest growing industries globally with the global eSports market being valued at just over USD 950 million in 2020. The majority of these revenues come from sponsorships and advertising, and the rest from media rights, publisher fees, merchandise and tickets, digital, and streaming. While Asia and North America represent the two largest eSports markets, Africa's eSports market potential remains largely untapped.

Homeboyz recognizes eSports' growing popularity among the majority of the youth population in Kenya. Through its partnership with the eSports Kenya Federation, Homeboyz will be actively involved in scaling the eSports scene in Kenya. Homeboyz, which already enjoys massive following from the Kenyan youth is strategically positioned to fast-track the full commercialization of the eSports industry in Kenya and subsequently create a new revenue stream for the giant media and events management house.

7.1.2. E-commerce

Homeboyz is on course to launch among many other e-commerce products a video-on-demand platform (HBTV) that will showcase local content produced by Homeboyz including Kenya Premier League, Kenya Rugby League, Kenya e-Sports League and the Kenya Motor Cross.

7.2.Investment case

Management capability	The success enjoyed by Homeboyz has been down to the drive, commitment and execution of its management. With over 20 years of high level experience in the industry, the management team has the knowledge and expertise to deliver unparalleled success in the Company's next growth phase.
Diversified revenue streams	With business interests in various segments within the entertainment and media industry, Homeboyz's is able to generate robust and defensible revenues that play a key role in cushioning the business against market volatility.
Key and strategic partnerships	Homeboyz continuously seeks partnerships with strategic players to unlock key synergies and be able to proactively offer

	its customers exceptional experiences and new innovative product offerings.
Industry leadership	Homeboyz is a household name in Africa's entertainment industry having hosted and managed high-profile events across the continent. This has propelled the Company's brand as the go to event management and entertainment service provider all over the region with international interest and recognition increasing in the recent past.
Millennial appeal	The company boasts of an unmatched reach among the millennials through its social and broadcast platforms estimated at 5 million followers a number that keeps growing daily.
Digital innovations	With transformational innovations such as Swype, a leading payment solution, Homeboyz is continuously coming up with technological solutions that are critical to providing solutions for its customers. Other ground-breaking innovations include Big Data Lab and Fixxit that offer customized solutions to its clients.
World class equipment and infrastructure	Homeboyz provides the best sound and video equipment in Kenya and the larger East African region. This is complemented by its on ground transport, backup power and storage facilities and infrastructure. This has enabled the company setup events such as the presidential debate in 2013, President Barrack Obama's homecoming in 2016, the First Lady marathon among other high profile events.

8. Operating & Financial Highlights

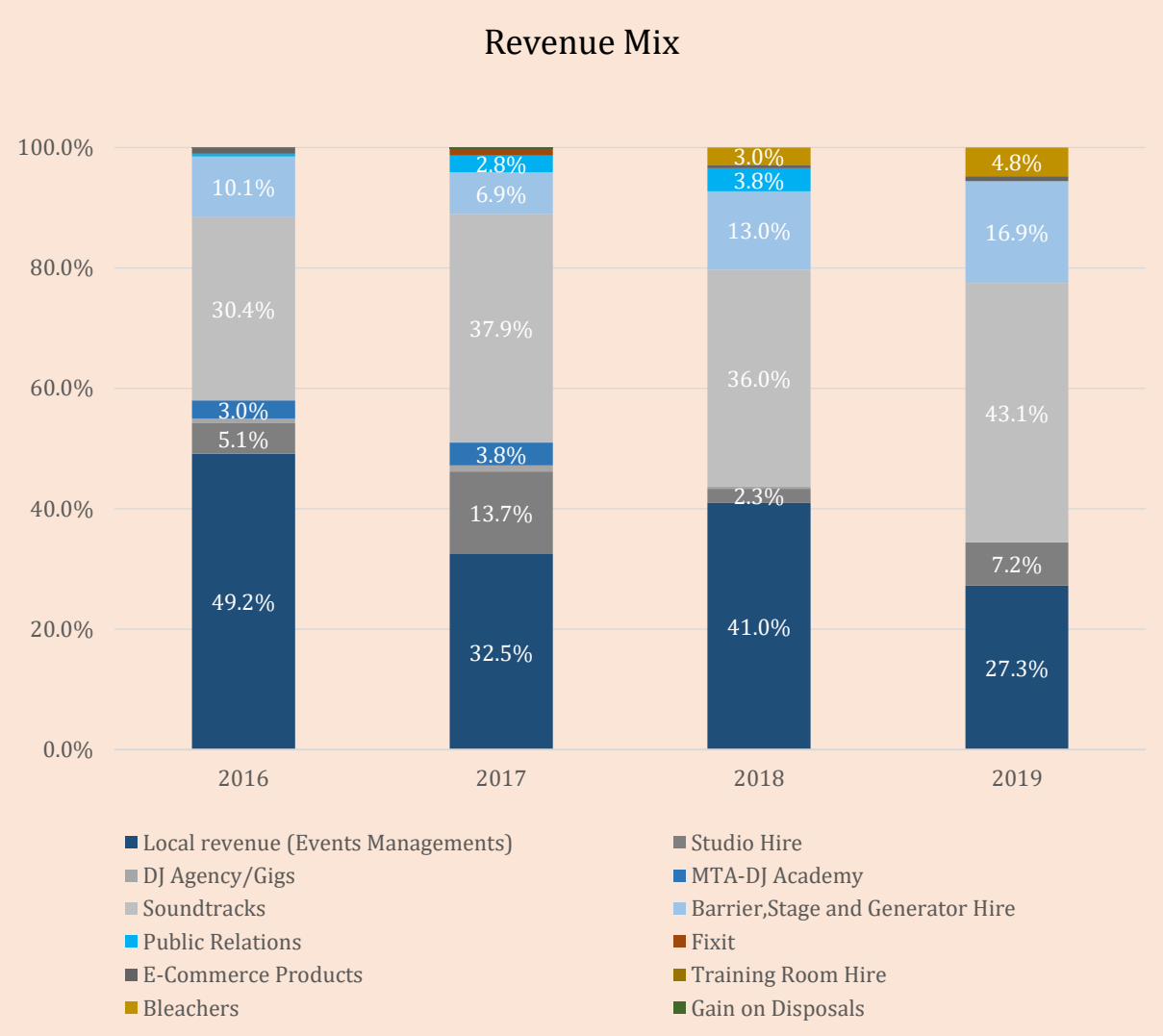
8.1.Historical Income Statement

Figures in Kshs	Audited	Audited	Audited	Audited	Audited
Year Ending 31st December	**2015**	**2016**	**2017**	**2018**	**2019**
Turnover	224,914,991	400,808,357	371,840,791	346,456,406	311,516,155
Cost of Services	(100,396,591)	(233,447,667)	(185,592,367)	(202,360,035)	(122,073,166)
Gross Profit	**124,518,400**	**167,360,690**	**186,248,424**	**144,096,371**	**189,442,989**
Administrative Costs	(132,412,828)	(153,439,482)	(191,527,097)	(149,978,572)	(147,135,444)
EBITDA	**14,783,293**	**30,923,840**	**29,866,401**	**8,453,858**	**55,237,175**
Finance Costs	(2,177,222)	(1,128,013)	(310,121)	(3,807,084)	(3,399,109)
Depreciation	(22,677,721)	(17,002,632)	(35,145,074)	(14,336,059)	(12,929,630)
Profit Before Tax	**(10,071,650)**	**12,793,195**	**(5,588,794)**	**(9,689,285)**	**38,908,436**
Income Tax	0	(3,844,189)	0	0	(2,332,940)
Profit After Tax	**(10,071,650)**	**8,949,006**	**(5,588,794)**	**(9,689,285)**	**36,575,496**
Revenue Growth	*-25%*	*78%*	*-7%*	*-7%*	*-10%*
GP Margin	*55%*	*42%*	*50%*	*42%*	*61%*
EBITDA Margin	*7%*	*8%*	*8%*	*2%*	*18%*
PAT Margin	*-4%*	*2%*	*-2%*	*-3%*	*12%*

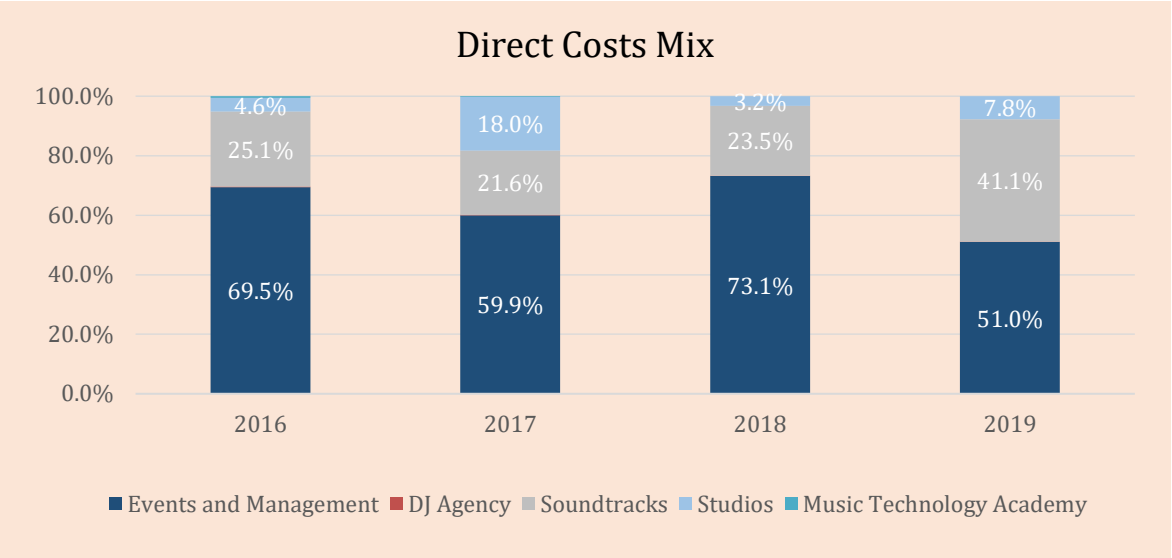
8.2.Income Statement Overview

HEL's revenue grew by a 4-year CAGR of 15% between 2015 and 2018. 2016 in particular was a successful year for the company as its revenue grew by 78% from the previous year, recording a total revenue of KES 401 M. This was mostly attributed to revenue realized from the 2016 Edition of the First Lady Half Marathon in which HEL was the event organizer. Decline in Revenue by 7% in 2018 was in part attributable to the company discontinuing the MTA DJ *a*cademy Business segment. Additionally, Studio Hire saw a KEs 42 M decline in the same year largely due to increased competition from smaller music production companies.

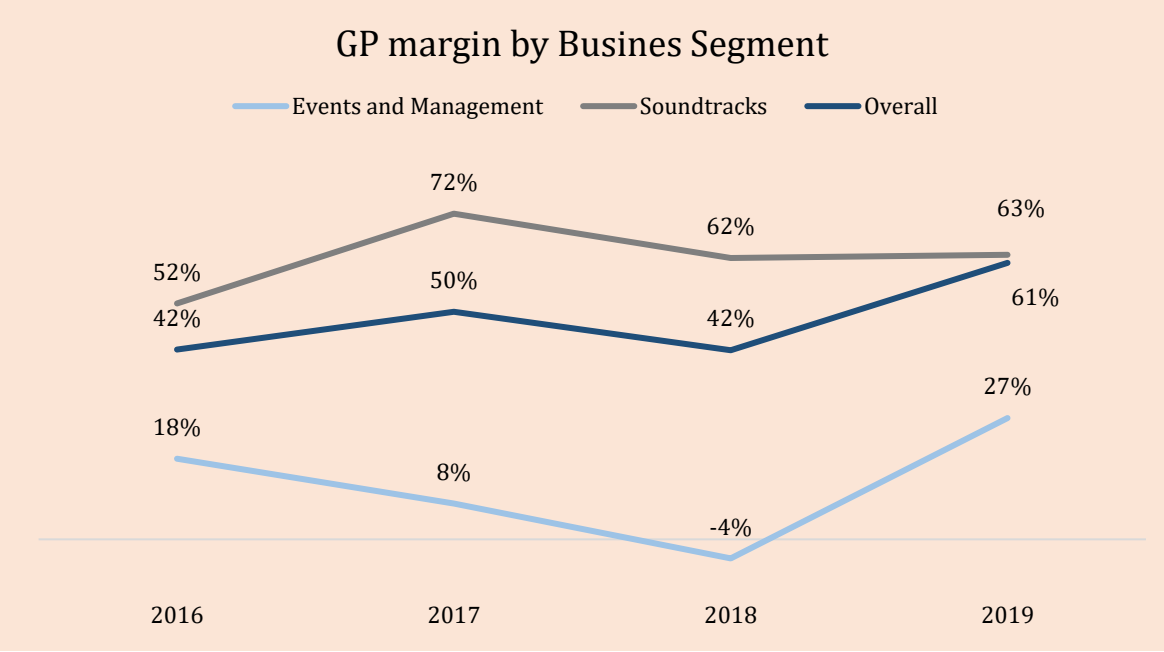
With the exception of 2016, majority of the company's revenue has been realized from its soundtracks business segment. Management attributes superior quality of their sound systems, reliability and having a dedicated team as some of the key attributes giving them an edge over their competitors in this space.

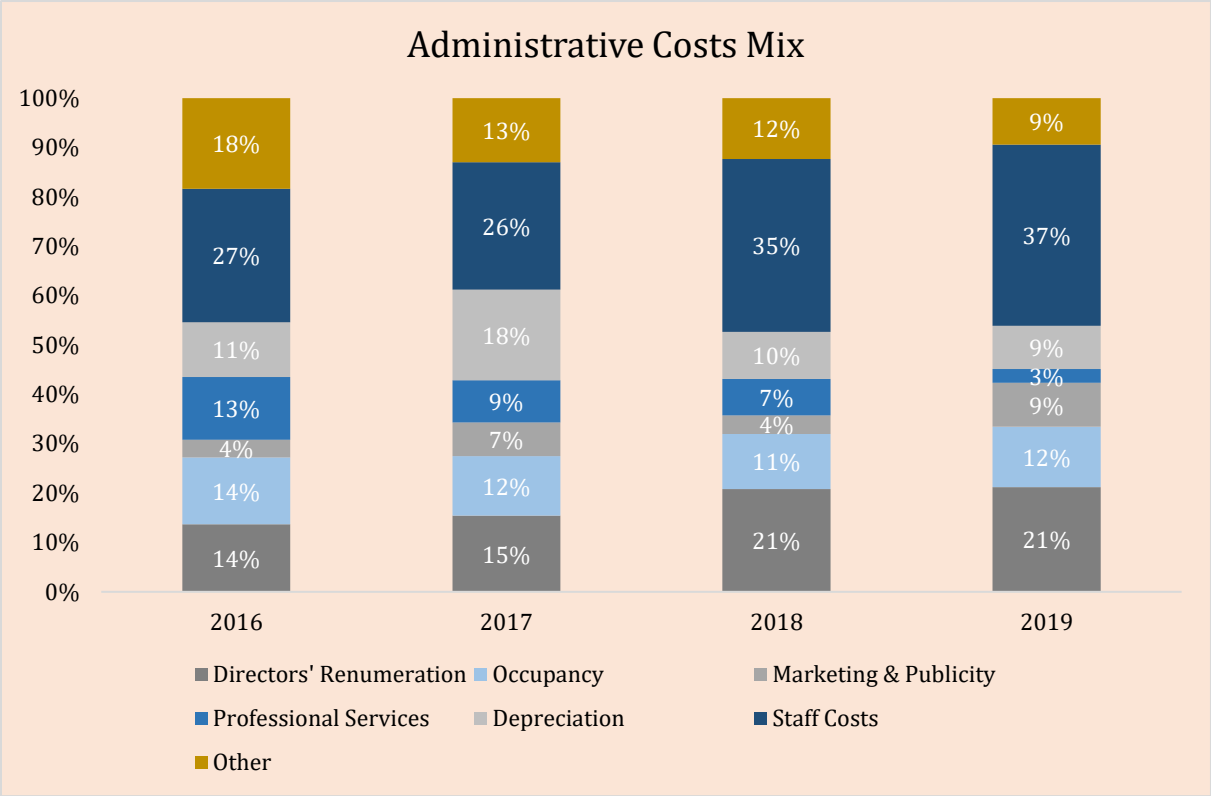


Majority of HEL's Direct Costs have historically been in relation to Events & Management business segment. The key cost drivers in this Business segment are costs directly associated in running the events. These include but are not limited to costs for venue hire, artists, hire of equipment, décor and toilets, branding, licenses, branding, labour/professional services and transport costs.

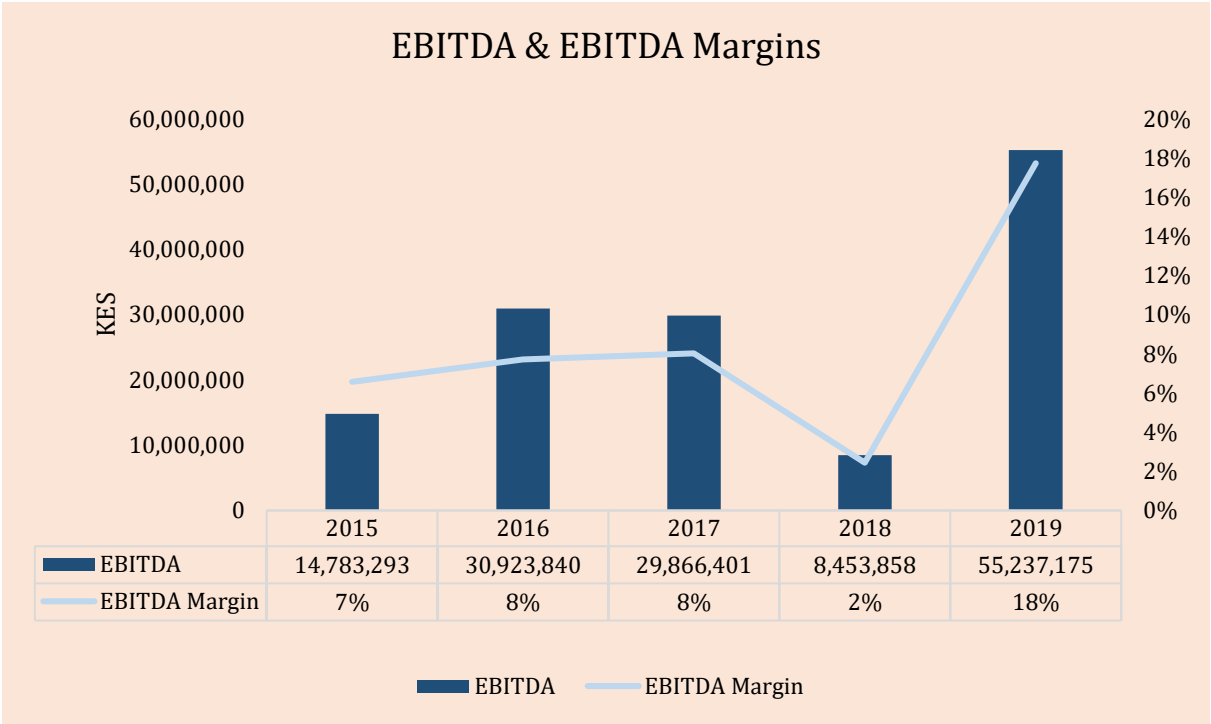


Whilst, the Gross Profit Margins realized from the Soundtracks business segment have been relatively stable of the last 5 years, Events and Management has seen a decline mainly due to direct cost and price undercutting by key competitors. However, Management has taken prudent measures to reduce costs by enforcing tighter controls and reducing casual labourers in this Business Segment. As a result of these efforts, the GP Margin in Events & Management has greatly improved to 27% as per the audited 2019 financials and has a positive outlook going forward.





The company's EBITDA Margin has declined over the last few years. As mentioned previously, this is in part attributable to direct cost and price undercutting by key competitors. However, the company's management took frugal steps in 2019 to reduce its operating costs while still maintaining efficiency and hence realizing an EBITDA Margin of 18% as a result.



8.3.Historical balance Sheet Overview

The Company's heavy Capex Investment of KES 78 M in 2017 was mostly to purchase new trucks and bleachers to enable the company enhance its service delivery. These were financed through Hire Purchase and Long-Term provisions which are reflected on HEL's balance sheet under non-current liabilities.

Year Ending 31st December	**2015**	**2016**	**2017**	**2018**	**2019**
Figures in KES					
Assets					
Non-Current Assets					
Property and equipment	56,574,331	43,719,356	86,433,986	82,650,538	76,345,908
Deferred tax asset - net	6,839,609	6,839,609	6,839,609	0	0
Total Non - Current Assets	**63,413,940**	**50,558,965**	**93,273,595**	**82,650,538**	**76,345,908**
Current Assets					
Trade and other receivables	23,845,356	32,153,262	23,023,878	27,306,344	56,942,195
Tax Asset	2,257,080				
Cash in hand and at bank	11,380,352	21,456,265	3,479,238	1,046,991	13,168,326
Total Current Assets	**37,482,788**	**53,609,527**	**26,503,116**	**28,353,335**	**70,110,521**
Total Assets	**100,896,728**	**104,168,492**	**119,776,711**	**111,003,873**	**146,456,429**
Equity & Liabilities					
Equity					
Share Capital	20,000,000	20,000,000	20,000,000	20,000,000	20,000,000
Equity Injection					
Retained Earnings	(7,305,516)	1,643,491	(1,616,920)	(16,696,960)	19,878,536
Total Equity	**12,694,484**	**21,643,491**	**18,383,080**	**3,303,040**	**39,878,536**
Liabilities					
Non-Current Liabilities					
Convertible Debt		0	0	0	11,600,718
Hire Purchase and Long Term Provisions	13,137,906	0	25,679,162	29,673,844	21,054,345
Total Non - Current liabilities	**13,137,906**	**0**	**25,679,162**	**29,673,844**	**32,655,063**
Current Liabilities					
Trade and other payables	73,069,803	80,664,761	82,348,308	82,178,928	74,247,535
Short-Term Borrowings	1,994,535				
Directors Account		0	0	6,428,576	10,000,000
Corporation Tax	0	1,860,240	(6,633,840)	(10,580,515)	(10,324,705)
Total Current Liabilities	**75,064,338**	**82,525,001**	**75,714,468**	**78,026,989**	**73,922,830**
Total Equity & Liability	**100,896,728**	**104,168,492**	**119,776,710**	**111,003,873**	**146,456,429**
Current Ratio	*0.50*	*0.65*	*0.35*	*0.36*	*0.95*
Quick ratio	*0.35*	*0.39*	*0.30*	*0.35*	*0.77*
Receivables Days	*39*	*29*	*23*	*29*	*67*
Payables Days	*266*	*126*	*162*	*148*	*222*

8.4.Historical Cashflow Statement

Year Ending 31st December Figures in KES	**2015**	**2016**	**2017**	**2018**	**2019**
Profit /loss for the year before Tax	(10,071,650)	12,793,195	(5,588,794)	(9,689,285)	38,908,436
Adjustments for:					
Depreciation of PPE	22,677,721	17,002,632	35,145,074	14,336,059	12,929,630
Gain on Disposal			(545,534)		
WHT Deducted	(3,225,644)	273,131	(8,494,080)	(3,946,675)	
Prior Year Adjustment			2,328,384	1,448,853	
Tax paid					(2,332,940)
Operating Profit before Working Capital changes	**9,380,427**	**30,068,958**	**22,845,050**	**2,148,952**	**49,505,126**
Changes in:					
Trade and other receivables	29,083,443	(8,307,905)	9,129,384	(4,282,467)	(29,635,851)
Trade and other payables	(2,913,592)	7,594,958	1,683,548	(169,380)	(7,675,582)
Net cash generated/used in operating activities	**35,550,278**	**29,356,011**	**33,657,982**	**(2,302,895)**	**12,193,693**
Cash flows from investing activities					
Purchase of Fixed Assets	(30,640,943)	(4,147,657)	(78,070,169)	(10,552,612)	(6,625,000)
Disposal of Fixed Assets			756,000	0	0
Net cash used in investing activities	**(30,640,943)**	**(4,147,657)**	**(77,314,169)**	**(10,552,612)**	**(6,625,000)**
Cash flows from financing activities					
Long term borrowings	(765,903)	(13,137,906)	25,679,162	3,994,682	(8,619,499)
Directors Account				6,428,576	3,571,424
Convertible Debt					11,600,718
Short term borrowings	(3,502,107)	(1,994,535)			
Equity Capital					
Net cash used in financing activities	**(4,268,010)**	**(15,132,441)**	**25,679,162**	**10,423,258**	**6,552,643**
Net Change in Cash	**641,325**	**10,075,913**	**(17,977,025)**	**(2,432,249)**	**12,121,336**
Cash at Beginning	10,739,026	11,380,351	21,456,264	3,479,239	1,046,990
Cash at End	**11,380,351**	**21,456,264**	**3,479,239**	**1,046,990**	**13,168,326**

9. Financial results & Forecasts

Below are the interim financial results for the 10 month period ended 31st October 2020 as well as the projected full year performance for 2020 to 2023.

9.1.Income Statement

Period Ended	Interim 31-Oct-20	Forecast 31-Dec-20	Forecast 31-Dec-21	Forecast 31-Dec-22	Forecast 31-Dec-23
Income Statement					
Turnover	82,808,568	99,370,280	252,398,494	482,909,542	492,374,568
Cost of Services	(51,052,992)	(54,653,654)	(126,199,247)	(241,454,771)	(246,187,284)
Gross Profit	**31,755,577**	**44,716,626**	**126,199,247**	**241,454,771**	**246,187,284**
Administrative Costs	(41,124,020)	(49,348,826)	(59,211,359)	(63,465,718)	(66,639,004)
Additional staff costs	0	0	(20,000,000)	(20,000,000)	(20,000,000)
EBITDA	**(9,368,443)**	**(4,632,200)**	**46,987,889**	**157,989,053**	**159,548,280**
Finance Costs	(813,128)	(975,754)	(975,754)	(975,754)	(975,754)
Depreciation	(8,148,323)	(10,606,114)	(9,085,724)	(7,794,309)	(6,695,460)
Profit Before Tax	**(18,329,895)**	**(16,214,068)**	**36,926,411**	**149,218,991**	**151,877,067**
Income Tax	0	0	(11,077,923)	(44,765,697)	(45,563,120)
Profit After Tax	**(18,329,895)**	**(16,214,068)**	**25,848,487**	**104,453,293**	**106,313,947**
Revenue Growth		*-68%*	*154%*	*91%*	*2%*
GP Margin		*45%*	*50%*	*50%*	*50%*
Admin Costs / Revenue		*50%*	*23%*	*13%*	*14%*
EBITDA Margin		*-5%*	*19%*	*33%*	*32%*
PAT Margin		*-16%*	*10%*	*22%*	*22%*

HEL's total Revenue in 2019 declined by 10% compared to 2018. The decline is attributable to a slowdown in business in the Events and management business segment. In 2018, the company was involved in producing four major events which did not recur in 2019 namely the Telkom Kenya relaunch, Standard Chartered Nairobi Marathon, East Africa Breweries Limited Guinness Fanzone event and the ICT Authority Connected Kenya event.

The Company however secured major contracts with the UN Habitat and UNFPA in 2019. HEL is anticipated to see a further 68% decline in revenue in 2020 due to the adverse impact of the COVID-19 pandemic on the events industry. Nonetheless, the company has secured significant contracts that should see a recovery in 2021. Some of these contracts are with the Kenya Rugby League, Safari Rally, E-Sports Federation of Kenya and the Magical Kenya Open.

Owing to the decline in revenues resulting from the pandemic, the company also sent majority of its staff on unpaid leave to try maintain sufficient operating cashflows. This explains the projected 59% decrease in administrative costs in 2020. Going forward, the management seeks to hire staff

on a project by project basis in alignment with the overall business model. This will ensure maximum utilization of resources in addition to maintaining lean staff costs.

9.2. Balance Sheet

Period Ended Figures in KES	Interim 31-Oct-20	Forecast 31-Dec-20	Forecast 31-Dec-21	Forecast 31-Dec-22	Forecast 31-Dec-23
Assets					
Non-Current Assets					
Property and equipment	67,620,729	66,457,794	57,372,070	49,577,761	42,882,301
Total Non - Current Assets	**67,620,729**	**66,457,794**	**57,372,070**	**49,577,761**	**42,882,301**
Current Assets					
Trade and other receivables	11,461,417	11,434,388	29,043,114	55,567,673	56,656,800
Cash in hand and at bank	(690,868)	5,953,547	94,737,883	239,193,878	353,525,796
Total Current Assets	**10,770,548**	**17,387,935**	**123,780,997**	**294,761,552**	**410,182,595**
Total Assets	**78,391,277**	**83,845,730**	**181,153,067**	**344,339,313**	**453,064,896**
Equity & Liabilities					
Equity					
Share Capital	20,000,000	31,600,718	76,600,718	76,600,718	76,600,718
Retained Earnings	1,293,519	3,664,468	29,512,956	133,966,249	240,280,196
Total Equity	**21,293,519**	**35,265,186**	**106,113,674**	**210,566,967**	**316,880,914**
Liabilities					
Non-Current Liabilities					
Convertible Debt	11,600,718	0	0	0	0
Hire Purchase and Long Term Provisions	17,299,322	21,054,345	21,054,345	21,054,345	21,054,345
Total Non - Current liabilities	**28,900,040**	**21,054,345**	**21,054,345**	**21,054,345**	**21,054,345**
Current Liabilities					
Trade and other payables	28,890,939	27,850,903	64,309,753	123,042,705	125,454,342
Directors Account	10,000,000	10,000,000	0	0	0
Corporation Tax	(10,693,221)	(10,324,705)	(10,324,705)	(10,324,705)	(10,324,705)
Total Current Liabilities	**28,197,718**	**27,526,198**	**53,985,048**	**112,718,000**	**115,129,637**
Total Equity & Liability	**78,391,277**	**83,845,730**	**181,153,067**	**344,339,313**	**453,064,896**
Current Ratio	*0.95*	*0.63*	*2.29*	*2.62*	*3.56*
Quick ratio	*0.77*	*0.42*	*0.54*	*0.49*	*0.49*
Receivables Days	*67*	*42*	*42*	*42*	*42*
Payables Days	*222*	*186*	*186*	*186*	*186*

9.2.Cashflow Statement

	Interim	Forecast	Forecast	Forecast	Forecast
Period Ended	**31-Oct-20**	**31-Dec-20**	**31-Dec-21**	**31-Dec-22**	**31-Dec-23**
Figures in KES					
Profit /loss for the year before Tax	**(18,329,895)**	**(16,214,068)**	**36,926,411**	**149,218,991**	**151,877,067**
Adjustments for:					
Depreciation of PPE	8,148,323	10,606,114	9,085,724	7,794,309	6,695,460
Gain on Disposal	999,145				
Prior Year Adjustment	(81,161)				
Tax Paid	(964,766)	0	(11,077,923)	(44,765,697)	(45,563,120)
Operating Profit before Working Capital changes	**(10,228,354)**	**(5,607,954)**	**34,934,212**	**112,247,602**	**113,009,407**
Changes in:					
Trade and other receivables	45,480,778	45,507,807	(17,608,726)	(26,524,559)	(1,089,126)
Trade and other payables	(45,356,596)	(46,396,632)	36,458,850	58,732,952	2,411,637
Net cash generated/used in operating activities	**(10,104,171)**	**(6,496,779)**	**53,784,336**	**144,455,995**	**114,331,917**
Cash flows from investing activities					
Purchase of Fixed Assets	0	(718,000)	0	0	0
Net cash used in investing activities	**0**	**(718,000)**	**0**	**0**	**0**
Cash flows from financing activities					
Long term borrowings	(3,755,023)	(8,619,499)	0	0	0
Directors Account	0	3,571,424	0	(10,000,000)	0
Convertible Debt	0	11,600,718	(11,600,718)	0	0
Equity Capital			11,600,718	45,000,000	0
Net cash used in financing activities	**3,755,023**	**6,552,643**	**0**	**35,000,000**	**0**
Net Change in Cash	(13,859,194)	(7,214,779)	88,784,336	144,455,995	114,331,917
Cash at Beginning	13,168,326	13,168,326	5,953,547	94,737,883	239,193,878
Cash at End	**(690,868)**	**5,953,547**	**94,737,883**	**239,193,878**	**353,525,796**

10. Risk Factors

The significant risk factors affecting Homeboyz's business are detailed below. These risks and uncertainties are not the only issues that the Company faces; additional risks and uncertainties not presently known or currently immaterial may also have a material adverse effect on the Company's financial condition or business success. If any or a combination of these risks actually occur, the Company's financial condition and operating results could be adversely affected.

The Company faces various types of risk. The Board of Directors and Management therefore devote time to management of these risks. The main aim of risk management is to ensure all risks assumed in the course of the Company's business are recognised early and mitigated through effective risk management practices.

10.1. Risks related to the Business

10.1.1. Change in customer preference

On-demand streaming services which are available both at home and on mobile devices have significantly changed the way people consume entertainment material, progressively shying away from live events.

Homeboyz is continuously exploring ways to diversify its product offering with a specific focus on producing digital content as well as maintaining an active online presence.

10.1.2. Emergence of disruptive technologies

Disruptive technologies will continue to be a threat to media industries that haven't been proactive in using them for their benefit. With a talented team of software development gurus, Homeboyz is at the forefront of industry innovations that will differentiate it from its competitors.

10.1.3. User generated content

User-generated content such as YouTube videos and other social media sites have simplified the process of content creation, intensifying the competition for the consumer's attention between established media houses and individuals. As such Homeboyz is always developing new, fresh and current content that its customers can relate to.

10.1.4. Piracy

Piracy and violation of intellectual property rights pose as a major threat to Homeboyz's business.

Homeboyz is at the forefront of lobbying with the government to ensure more stringent rules and measures are put in place to stop such practices.

10.1.5. Risk of personal injuries and accidents in connection with event venues

There are inherent risks associated with producing and hosting events and operating, maintaining or renovating venues. As a result, personal injuries, accidents and other incidents may occur from time to time, which could subject HEL to claims and liabilities.

Homeboyz ensures that its employees are well trained and the highest safety standards are adhered to. Additionally, the Company seeks to obtain contractual indemnities for events at venues that they do not promote, and maintain insurance policies that provide coverage for incidents in the ordinary course of business.

10.1.6. Low uptake of new business products

As with any novel product or business, Homeboyz's new business lines such as eSports and e-commerce will have to contend with low product uptake. Working with various stakeholders in the entertainment scene, Homeboyz has developed an elaborate go-to-market strategy that will enhance the success of the new business lines.

10.1.7. Postponement of events due to COVID-19

The COVID-19 pandemic saw the imposition of government restrictions on public gatherings resulting to cancelation of many public events across the country. The significant advancements and expected roll-out of a COVID-19 vaccine in 2021 is, however anticipated to propagate the case for loosening of government restrictions, allowing for resumption of social events. Notably, the International Automobile Federation (FIA) has already confirmed the dates for the Kenyan leg of the World Rally (Safari Rally) to take place on 24th – 27th June 2021.

10.2. Risks Relating to the Listing

10.2.1. Price and Liquidity Risk

Homeboyz cannot predict whether investor interest in Homeboyz post-listing will lead to the development of an active trading market on the NSE or otherwise or how liquid and vibrant any market that does develop might be. The listing price for the Company's shares which has been determined by the Board in consultation with the Transaction Adviser may not be indicative of prices that will prevail in the open market following the Listing.

11. Directors, Management & Corporate Governance Structure

11.1. Board of Directors

Below is a brief profile of the directors of the Company: -

Humphrey Wattanga – Chairman

Mr. Humphrey Wattanga has over 15 years' global experience serving as a business development, corporate finance and transaction adviser to private equity entities, private sector companies, development finance institutions, governments and public organisations. He is a Peer Review member of Grand Challenges Canada; a member of the Brookings Institution's review panel on the potential and limitations of Social Impact Bonds; and an integral part of the conceptualization, structuring and roll-out of the M-Akiba platform, the world's first mobile-only government bond. Mr. Humphrey holds a Masters in Business Administration from the Wharton School of Finance (from the University of Pennsylvania, USA), and a Bachelor's degree in Biochemistry (cum laude) from Harvard University, USA.

Mike Rabar – Founder and Chief Executive Officer, Homeboyz Entertainment Plc

Mike Rabar is the founder and Chief Executive Officer of Homeboyz Entertainment Plc. He holds a B.Sc. in Education from the University of Nairobi and a Diploma in the Audio Engineering from the London School of Audio Engineering. Mike has a wealth of entrepreneurial experience spanning over 19 years in the Kenyan entertainment industry and has played a pivotal role in the advancement of the local events and media scene. He is the founding Governor of Capital Club – a business network club that brings together leading Kenyan businessmen – and Board member of Vision 2030 committee, Safaricom/ TingaTinga Foundation, Kenya Rugby Football Union among others.

Professional Memberships

- Marketing Society of Kenya (MCSK) - Member
- Public Relations Society of Kenya (PRSK) – Member
- Kenya National Chamber of Commerce (KNCCI) – Member
- Media Owners Association (MOA) - Member
- Pan African Music Awards Secretariat - Member
- Professional Light Sound Association (UK) - Member
- British Council Professional Development Centre – Member

Stephen Gugu – Chairperson, Board Audit Committee

Stephen Gugu is a finance professional with over 15 years extensive experience in project and corporate finance. He is a founder and principal at InVhestia Africa Limited a financial advisory firm based in Kenya and working with entrepreneurs, investors, governments and development finance institutions across Africa. He is also a co-founder and Director at ViKtoria Ventures a sector agnostic angel network out of Kenya focused on commercially viable early stage investments from East Africa which are post traction. Stephen is an adjunct faculty member in Entrepreneurial Finance at Strathmore Business School where he also acts as the academic director for the private equity and venture capital program in the business school. He sits on the

advisory board of several companies and the African Business Angels Network. Stephen holds an MBA from Vlerick Business School in Belgium (Under the Kofi Annan Fellow Scholarship) (2011) an undergraduate degree in Law from the University of Nairobi and several professional courses in Finance and Accounting.

Rose Rabar - Finance & Administration Director

Rose Rabar is the Finance and Administration Director at Homeboyz Entertainment Plc. She has over 15 years of finance, audit and administration experience in different industries. Rose oversees all administrative and financial systems including finance, accounting, information technology, human resources and communications.

John Rabar – Director

John Rabar is a co-founder and executive director at Homeboyz Entertainment Plc. He is currently the programs director at Homeboyz Radio Ltd where he has been instrumental in driving the unit's profitability through the development of various business revenue streams. He is also a part-time lecturer at the Music Technology Academy (MTA) where he was actively involved in coming up with the curriculum. John holds a Bachelor of Science in Horticulture from the Egerton University and has a Diploma in Radio Journalism from the Kent Radio School, London.

Joe Otin – Independent Director

Mr. Joe Otin is the Chief Executive Officer of The Collective – Digital Advertising Agency, the Chairman of the Advertising Standards Board in Kenya, a Past President of the Pan-African Media Research Organization (PAMRO), a member of the Oversight Committee of the Kenya Audience Research Foundation (KARF), a member of the Marketing Society of Kenya (MSK) and the Public Relations Society of Kenya (PRSK). He received the distinguished Marketing Society of Kenya Warrior Award in 2010.

For the past 26 years, Mr. Otin has been influential in the advertising and media industry across Africa. He is the former Managing Director of Ipsos Media division in pan-Africa where he contributed to the 30% year on year growth for 7 years.

11.2. Directors' Interests

As at the date of this Information Memorandum, the direct and indirect beneficial equity interests of the Directors in Homeboyz Entertainment Plc are as follows: -

DIRECTORS	DIRECT & INDIRECT EQUITY INTERESTS IN HEL SHARES OF KES 0.50 EACH	SHAREHOLDING PERCENTAGE (%)
Mike Rabar	35,612,000	56.35%
Rose Rabar	27,568,000	43.62%
John Rabar	20,000	0.03%
Total	**63,200,000**	**100.0**

Note: Details of Directors' direct and indirect equity interests in Homeboyz are set out in section 13 (Statutory and General Information) of this Listing Statement.

11.3. Transactions with Directors

Except where expressly disclosed in this Listing Statement:

i. No payment has been made or agreed to be made to any Director or to any company in which such Director is beneficially interested, directly or otherwise, or in which such Director is a director, or to any entity of which they are a member, by any person so as to induce them to become or to qualify as a Director, or otherwise for services rendered by them or by Homeboyz, or such other entity during the three (3) years preceding the date of this Listing Statement.

ii. No Director is or has been involved in any transactions that are or were significant in relation to the business of Homeboyz and which were effected during the three (3) years preceding the date of this Listing Statement and which remain outstanding or unperformed.

iii. There are no outstanding loans granted by Homeboyz nor has Homeboyz issued any guarantees in favour of any of the Directors.

11.4. Executive Directors' Contracts

At present, there are no existing service contracts between Homeboyz and any of the Directors.

11.5. Directors' Fees

The following table summarizes all the sums paid to the Directors in the last 4 financial years.

YEAR	DIRECTOR'S EMOLUMENTS (KES)
2019	30,733,248
2018	30,733,248
2017	29,041,836
2016	20,491,272

11.6. Dividend Policy

HEL has a policy to pay dividends when permitted by law and subject to the consideration of the results of its operations, financial position, investment and liquidity requirements, legal reserves and minimum capital requirements.

11.7. Corporate Governance

The Board of HEL is fully committed to attaining and maintaining the highest standards of corporate governance. This is ensured through the following established practices:

- Independent functioning of the Board
- Clear demarcation of responsibilities of the Board and Management
- Implementation of well-designed internal control and management information system to ensure integrity of data and information
- Monitoring the performance of Senior Management

11.7.1. Board of Directors and Committees of the Board

The Board is governed by a Board Charter, which details the role and responsibilities of the Board and its approach to corporate governance. The Board acts in accordance with all relevant Company policies and laws applicable to the Company and in accordance with the Company's Memorandum & Articles of Association. The current Board comprises of two (2) executive directors and four (4) non-executive directors including the Chairman. This has led to independence in outlook and ensures that balanced objective decisions are arrived in regard to operations and strategic issues.

The Board has established the audit committee whose terms of reference and composition are approved by the Board and are reviewed regularly.

11.7.2. Audit Committee

The Audit Committee meets at least four (4) times a year, with no more than three (3) months passing between successive meetings, and at such other times as circumstances may dictate. Its membership includes Stephen Gugu (as Chairman) and at least three (3) independent and non-executive directors. The external auditors and other members of the management team attend meetings as appropriate for part or whole of each meeting.

The Committee's responsibilities include reviewing of financial statements, compliance with accounting standards, oversight on internal control systems, identification, assessment and effectiveness of business risk management processes in liaison with the external auditor. The Committee is also authorized by the Board to investigate any matter within its terms of reference and to seek any information it requires from any Company employee, external legal, accounting or other independent professional advisors as it considers necessary in discharging its responsibilities.

11.7.3. Corporate Social Responsibility



Homeboyz Entertainment Plc through the Homeboyz Foundation runs a robust CSR programme geared towards youth empowerment through talent development, skills advancement and civic engagement. Homeboyz Foundation collaborates with stakeholders and partners who have the tools, resources and platforms the youth require in order to complete the cycle of innovation and production; with mutual reward and long-term social gain for all. Some of our partners include:

12. Statutory and General Information

Incorporation

Homeboyz was incorporated on 15th March 2001 under the Companies Act, Chapter 486, Laws of Kenya (now repealed). The Company was incorporated with company number C. 93192 as a private company with liability limited by shares.

On 2nd September 2020, Homeboyz converted from a private limited company to a public limited company pursuant to the provisions of the Companies Act, No. 17 of 2015. Consequently, Homeboyz changed its name to Homeboyz Entertainment Plc in accordance with section 53 of the Companies Act, 2015.

Authorised and Issued Share Capital

Homeboyz currently has an authorised share capital of Kenya Shillings Thirty One Million Six Hundred Thousand (KES 31,600,000.00) divided into sixty three million two hundred thousand (63,200,000) ordinary shares of Kenya Shillings One (KES 0.50) each. The current issued share capital of Homeboyz is Kenya Shillings Thirty One Million Six Hundred Thousand (KES 31,600,000) divided into sixty three million two hundred thousand (63,200,000) ordinary shares of Kenya Shillings One (KES 0.50) each.

Alterations in Homeboyz's authorized and issued share capital during the three preceding years

The Company was originally incorporated with an authorised share capital of Kenya Shillings Ninety Thousand (KES. 90,000.00) divided into nine hundred (900) ordinary shares of Kenya Shillings One Hundred (KES. 100.00) each.

By an ordinary resolution passed on 2nd February 2009, the authorised share capital of Homeboyz was increased by Kenya Shillings Nineteen Million, Nine Hundred and Ten Thousand (KES. 19,910,000.00) divided into one hundred and ninety-nine thousand and one hundred (199,100) ordinary shares of Kenya Shillings One Hundred (KES. 100.00) each ranking in *pari passu* with the existing ordinary shares in Homeboyz.

By a board resolution dated 2nd November 2020 and a unanimous resolution of a meeting of the shareholders passed on 2nd November 2020, it was resolved that an aggregate debt totalling Kenya Shillings Eleven Million, Six Hundred Thousand, Seven Hundred and Eighteen (KES 11,600,718) equally owed to Michael Rabar and Rose Nyaguthii as captured in the 2019 Financial Statements, be converted into equity. The conversion was resolved to be by the allotment of one hundred and sixteen thousand (116,000) ordinary shares each of Kenya Shillings One Hundred (KES 100.00) to Michael Rabar and Rose Maina, with such shares being credited as fully paid up and each ranking in *pari passu* with the existing ordinary shares in Homeboyz.

By an ordinary resolution passed on 11th November 2020, the authorised share capital of Homeboyz was split, in the ratio of 200 (200) ordinary shares to each one (1) authorised ordinary share, resulting in the current authorised share capital of Kenya Shillings Thirty One Million Six Hundred Thousand (KES 31,600,000.00) divided into Sixty Three Million Two Hundred Thousand (63,200,000) ordinary shares of Kenya Shillings Fifty Cents (KES 0.50) each.

Changes in shareholders in the last three financial years

Save as has been disclosed in this Listing Statement, there has not been any change in the shareholding structure of Homeboyz in the previous three (3) financial years.

The current shareholders of Homeboyz are as follows:

Shareholder	Shares Held	Percentage Held
Michael Agwingi Rabar	35,612,000	56.35%
Rose Nyaguthii Maina	27,568,000	43.62%
John Juma Obonyo Rabar	20,000	0.03%
Total	**63,200,000**	**100%**

Lock-In Undertaking

As required under Part C of the First Schedule of Listing Regulations, through letters addressed to the Company, each of the current shareholders have undertaken not to dispose their shareholding in the Company before the expiry of twenty-four (24) months following listing. This undertaking is subject to a number of exceptions where the shareholders may be permitted to dispose their shareholding (which in all instances must be approved by the Capital Markets Authority):

- a disposal for purposes of ensuring that at least fifteen per cent (15%) of the issued shares in the Company are available for trade by the public as is required by the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations, 2002;
- to satisfy a requirement under law or to comply with a directive issued by the Capital Markets Authority;
- any disposal pursuant to acceptance of a takeover offer, which is open to all the shareholders, made to acquire the whole or a part of the issued share capital of the Company (other than any Shares already held by the offeror or persons acting in concert with the offeror) whether by means of a contractual takeover bid or a scheme of arrangement effected under Law (a "**Takeover Offer**");
- the execution of an irrevocable commitment to accept a Takeover Offer;
- any disposal pursuant to an intervening court order; or
- to a transmittee or other personal representative upon my death pursuant to a will or intestacy.

Auditors for the last three financial years

Matengo & Associates, P.O. Box 67603-00200, Nairobi, Kenya

Board and Shareholders Authorisation for the Listing

The Listing has been duly authorised by the resolutions of the Directors and the shareholders, both dated 28th February 2020.

Corporate Governance

The Company has a board of directors with six (6) directors as follows:

Name	Capacity	Nationality	Age (yrs)	Address
Humphrey Wattanga	Chairman & Independent Non-executive Director	Kenyan	49	Simba House, May East Drive, Karen, Nairobi.
Michael Agwingi Rabar	Executive Director and Chief Executive Officer	Kenyan	50	8th Floor, Galana Plaza, Galana Road, Kilimani, Nairobi.
Rose Nyaguthii Maina	Executive Director	Kenyan	49	8th Floor, Galana Plaza, Galana Road, Kilimani, Nairobi.
John Juma Obonyo Rabar	Non-executive Director	Kenyan	44	8th Floor, Galana Plaza, Galana

				Road, Kilimani, Nairobi.
Stephen Gugu	Independent Non-executive Director	Kenyan	37	InVhestia Africa Limited, Block B, Methodist Centre, Oloitoktok Road, Lavington, Nairobi.
Joe Otin	Independent Non-executive Director	Kenyan	46	Palm Court, Apartment 2, Nyangumi Road, Kilimani, Nairobi.

The Board is composed of four (4) non-executive directors, three (3) of whom are independent. The other two (2) directors are executive directors.

The Board is chaired by Humphrey Wattanga. The Board has also constituted various committees to conduct its affairs as follows:

Board Committee	**Chairperson**
Audit Committee	Stephen Gugu

Extracts of the Homeboyz Articles of Association

The following is an extract of the Articles of Association of the Company and is not exhaustive:

Article 3 - Business

3.1. The business of the Company shall, to the extent permitted by the Applicable Laws be unrestricted, and shall include, without limitation, the following objects and all incidental matters:

3.1.1 To carry on the business of entertainment and to act as music promoters, buying, selling and renting of musical instruments and to provide musical extravaganza halls, mount music concerts and promotions, music producers and developers and also to buy and sell both taped and untapped cassettes and to undertake the business of advertising consultants, display specialists and contractors and generally to undertake and execute agencies and as commission agents and to act as manufacturers' representatives and to do any other business which the Company may find desirable and in line with the objectives herein;

3.1.2 To carry on the business of teaching music and selling all types of musical equipment, and also to repair and maintain musical equipment and generally to offer entertainment services as well as selling and giving for hire all types of musical equipment;

3.1.3 To undertake the business of proprietors of video shops and video studio selling, video players and cassettes and renting out the same and also to organise shooting by video camera or otherwise, whether for individual corporation or motion pictures, designing, studio-cynic filming, typesetting and duplicating and generally to carry on the business of selling films and accessories and material that can be used in the studio and film industry as a whole; and

3.1.4 To hold or promote competitions of any descriptions authorised by law that may be calculated to increase the business of the Company and to advertise or promote the sale of any publications issued and to manufacture and produce either as principals or agents, trade and deal in any articles associated with such business.

Article 5 - Immobilization of Shares

5.18. Pursuant to and subject to the Central Depositories Act, title to immobilized and dematerialised shares will be evidenced otherwise than by a certificate and title to such shares shall be transferred by means of a book-entry transfer in accordance with the provisions of the Central Depositories Act.

5.19. No provision of these Articles shall apply or have effect in relation to any shares which have been immobilised or dematerialised under the Central Depositories Act to the extent that it is inconsistent in any respect with:

5.19.1. the holding of such shares in uncertified form;

5.19.2. the transfer of title to such shares by means of a book-entry transfer; and

5.19.3. any provision of the Central Depositories Act.

5.20. Transfers of Securities which have been immobilised or dematerialised under the Central Depositories Act shall be affected in the manner prescribed thereunder.

5.21. Where the Company refuses to register transfers of Securities required to be registered under Section 14 and 15 of the Central Depositories Act, it shall serve the transferor and transferee with written notice of the reasons for such refusal in accordance with Section 14(5) of the Central Depositories Act.

5.22. An instrument of transfer lodged with the Company pursuant to Section 14(1) of the Central Depositories Act shall be capable of registration in the name of a central depository or its nominee company if such instrument has been certified by a central depository agent instead of being executed by the central depository or its nominee Company.

5.23. With effect from the date of dematerialisation of the shares, any reference to a transfer of share or debentures shall be a reference to a book entry transfer performed by the central depository in accordance with Section 27(1) (b) of the Central Depositories Act.

5.24. Any provisions in the Articles inconsistent with the requirements of the Central Depositories Act or as prescribed by the Authority under regulations in respect of registration, transfer, immobilization or dematerialization of securities shall be deemed to be modified to the extent of such inconsistency in their application to securities which are in part or in whole immobilized or dematerialized or are required by the Central Depository Act 2000 or regulations and rules issued thereunder to be immobilized or dematerialized in part or whole as the case may be.

5.25. If the Board declines to register a transfer, it shall, within two (2) months after the date on which the transfer was lodged with the Company, send to the transferor and the transferee notice of the refusal.

5.26. The registration of transfers may be suspended and the Register closed at such time and for such periods as the Board may from time to time determine provided that such suspension and closure shall not be for more than thirty (30) days in any year.

5.27. There shall be paid to the Company in respect of the registration of any probate, letters of administration, certificate of marriage or death, power of attorney, notice of attachment, deed poll or other document relating to or affecting the title to any share, such fee (if any) as the Board may from time to time require or prescribe.

5.28. Where any securities of the Company are forfeited pursuant to these Articles after being immobilised or dematerialised, the Company shall be entitled to transfer such securities to a securities account designated by the Board for this purpose.

Clause 6 – Decision-taking by Members

6.1. Subject to Division 5 of Part XII of the Act, the Company shall, in respect of each financial year of the Company, hold a General Meeting as its Annual General Meeting in accordance with section 310 of the Act.

6.5 The Directors may convene an Annual General Meeting only by giving members at least twenty-one (21) days' notice of the meeting (exclusive of the day on which it is served or deemed to be served and of the day for which it is given).

6.6. The Directors may convene a General Meeting other than an Annual General Meeting only by giving Members at least fourteen (14) days' notice of the meeting (exclusive of the day on which it is served or deemed to be served and of the day for which it is given).

Article 7 - Directors

7.1. Unless and until otherwise determined by the Company in General Meeting, the number of the Directors (excluding Alternate Directors) shall not be less than five nor more than ten.

7.2. The Company may from time to time by Ordinary Resolution increase or reduce the number of Directors.

7.3. The remuneration of the Directors shall from time to time be determined by the Company in General Meeting.

7.13 The Company may, by Ordinary Resolution, of which Special Notice has been given, or by Special Resolution, remove any Director from office, notwithstanding any provision of these Articles or of any agreement between the Company and such Director. The removal shall be without prejudice to any claim the Director may have for damages for breach of any such agreement. The Company may, by ordinary resolution, appoint another person in place of a Director so removed from office. In default of such appointment the vacancy so arising may be filled by the Board as a casual vacancy.

7.14 A Director may before the expiration of his period of office be removed from office by a resolution signed by all his co-Directors. Such resolution may consist of several documents in a like form, each signed by one or more of his co-Directors.

7.41 The quorum necessary for the transaction of the business of the Directors may be fixed by the Directors and unless so fixed shall be more than one half of the number of Directors for the time being holding office, present either personally or by Alternate.

Clause 6 - Votes of Members

6.31. Subject to any special terms as to voting upon which any share may be issued or may for the time being be held, on a show of hands every Member who (being an individual) is present in person or by proxy or attorney or (being a corporation) is present by a representative appointed in accordance with Article 6.35 or by his proxy shall have one vote. On a poll every Member present in person or by proxy shall have one vote for every share held by him.

6.32. Where there are joint holders of a share, any one of such persons may vote at any Meeting either personally or by proxy, in respect of such shares as if he were solely entitled thereto; but if more than one of such joint holders be present at any Meeting, personally or by proxy, that one of the said persons whose name stands first in the Register in respect of such shares shall alone be entitled to vote in respect thereof. Several executors or administrators of a deceased Member in whose name any shares stand shall for the purpose of this Article be deemed joint holders thereof.

Statutory Approvals and Licences

Homeboyz has all the relevant approvals and business permits necessary to operate its business.

Insurance Policies

Homeboyz has various insurance policies in force to cover the usual risks, with varying expiry dates in the year 2020. The aggregate annual premiums payable under these policies is approximately KES. 4,000,000/-.

Property bought and disposed in the last five years

Homeboyz has not bought or disposed of any immovable property in the last five (5) years.

Material Contracts entered in the last two years

We have reviewed the following material contracts:

Counterparty	Date	Subject	Value
Kenya Revenue Authority	18th May 2018	Provision by Homeboyz of various technical and audio-visual equipment to KRA.	KES. 7,255,800/-
State House	6th August 2018	Provision of a public address system to State House.	KES. 2,782,940/-
Kenya Open Golf Limited	22nd June 2020	The provision by Homeboyz of sports consultancy, sponsorship management, public relations and event management.	Progressive
Kenya Rugby League Federation	22nd June 2020	The granting of exclusive branding and commercial rights to Homeboyz and joint management of Kenya Rugby League.	Progressive
Football Kenya Federation	7th October 2020	The provision of non-exclusive production services in relation to at least one hundred (100) footballing matches in the FKF Premier League, FKF Women and Men National team friendly matches and thirty (30) NSL matches for the each season of 2020/2021, 2021/2022 and 2022/2023.	USD 6,000/-
Sports Loto Kenya Ltd	15th September 2020	The collaboration between Sports Loto and Homeboyz in relation to the development and operation of a lottery service by Sports Loto and subsequent revenue sharing with Homeboyz.	Revenue split at a 70:30 ratio
E-Sport Kenya Federation	7th August 2020	The granting of exclusive marketing rights to Homeboyz and joint management by Homeboyz and ESKF of the E-Sport Premier League	Progressive

In the nature of business conducted by Homeboyz, a significant portion of business is conducted on a contractual basis. Homeboyz also regularly conducts business with entities such as East African Breweries Limited, the Kenyatta International Conference Centre and Capital FM, pursuant to purchase orders regularly issued by the said entities.

Material Indebtedness

Homeboyz has taken out an asset finance facility of Kenya Shillings Five Million, Seven Hundred (KES. 5,700,000/-) and an overdraft facility of Kenya Shillings Four Million (KES. 4,000,000/-)

from Bank of Africa Kenya Limited (BoA). This facility is as per an offer letter dated 29th March 2018 and is secured by:

i. An all-asset debenture over Homeboyz's assets for Kenya Shillings Nine Million, Seven Hundred Thousand (KES. 9,700,000/-);
ii. A first legal charge for the full open market value of Apartment 8, Block B located on Land Reference Number 2019/18218, Amara Park, Nairobi registered in the names of Michael A. Rabar and Rose N. Maina (an addendum offer letter to be issued upon receipt of the valuation report has not been provided to us);
iii. The original logbook of the Vehicles, to be duly registered under the joint names of BoA Kenya and Homeboyz, at Homeboyz's cost and held under the custody of BoA Kenya for the term of the facility.
iv. Blank motor vehicle transfer forms signed by Homeboyz and held by BoA Kenya together with all related documents deemed necessary for the purpose of a valid transfer of the Vehicles;
v. Fire insurance cover over Apartment 8, Block B located on Land Reference Number 209/18218, Amara Park, Nairobi from an insurer approved by BoA Kenya with the interest of BoA Kenya duly noted on the policy;
vi. Directors' personal guarantees and indemnities by Michael Agwingi Rabar, John Juma Obonyo Rabar and Rose Nyaguthii Maina for Kenya Shillings Nine Million Seven Hundred Thousand (KES. 9,700,000/-) each.
vii. Comprehensive insurance for the Vehicles being purchased from an insurer approved by BoA Kenya with BoA Kenya's interest duly noted;
viii. Motor vehicle tracking devices to be fitted in the Vehicles being purchased from a tracking company approved by BoA Kenya with BoA Kenya's interest duly noted on the certificate for the full tenor of the facility.

We have been informed that the Company has sought and been granted a moratorium of six (6) months until March 2021 in respect of this facility.

Related Party Agreements

Homeboyz does not currently have any material contracts with related third parties.

Material Litigation and Claims

HEL is not engaged in any litigation, dispute or arbitration and so far as the Directors are aware, there is no litigation or claim pending or threatened against HEL which has, has had or may have a significant effect on HEL's financial position.

Directors' Service Contracts

As at the date of this Listing Statement, each of the Directors has executed an appropriate letter of appointment in relation to their engagement as a Director.

Aggregate Directors' Remuneration in the last financial year

The aggregate remuneration paid to the Directors of the Company for the year ended 31st December 2019 was KES. 30,733,248/-.

There is no arrangement under which any of the Directors have waived or have agreed to waive future emoluments and there has been no agreement for the waiver of such emoluments in the last financial year.

Directors' Declaration

To the best knowledge and belief of the Directors, who have taken all reasonable care to ensure that such is the case, the information contained in this Listing Statement is in accordance with accurate facts and does not omit anything likely to affect the import of such information.

Interests of Directors

As at the date of this Listing Statement, the following Directors hold shares in the Company:

Name	Current Shareholding
Michael Agwingi Rabar	35,612,000 Ordinary Shares
Rose Nyaguthii Maina	27,568,000 Ordinary Shares
John Juma Obonyo Rabar	20,000 Ordinary Shares

Control of Homeboyz's Shares

Homeboyz does not have any contractual arrangement with a controlling shareholder required to ensure that Homeboyz is capable at all times of carrying on its business independently of any controlling shareholder.

Changes to Homeboyz and its Business

1. There have been no material changes in the trading objectives of the Company over the last three (3) years, nor is there any new trading objective foreseen in the near future other than as may have been disclosed in this Listing Statement.
2. There have been no interruptions in the business of the Company affecting the financial position of Homeboyz or its subsidiaries in the last three (3) years.

Documents for Inspection

Copies of the following key documents among others will be available for inspection at the Company's registered offices:

1. This Listing Statement;
2. The Company's Memorandum of Articles of Association;
3. The Certificate of Incorporation (Conversion);
4. The Board of Directors Resolution approving the Listing; and
5. The audited annual reports for the financial years ended 2017, 2018 and 2019.

General Information

1. There are no founders', management or deferred shares in the capital of the Company.
2. The share capital of Homeboyz is not divided into different classes of shares and all shares carry equal rights.
3. No unissued share or loan capital of the Company is under option or agreed conditionally or unconditionally to be put under option.
4. No share or loan capital of the Company is now proposed to be issued, fully or partly paid, for a consideration other than cash.
5. No commissions, discount, brokerage or other special terms have been granted by the Company on an issue or sale of any share or loan capital, within the period since incorporation and the Listing.
6. The shareholders of Homeboyz do not carry on widely differing operations resulting in substantially different contributions being made by each shareholder of the Company.
7. As at the date of this Listing Statement, there are no unissued shares in the Company but there are no categories of persons having preferential subscription rights to such unissued shares.
8. Homeboyz does not intend to carry on any other business that may be material with regard to the profit or loss, assets employed or any other factors affecting Homeboyz's current business.

9. Save as disclosed in this section of the Listing Statement, no significant material assets have been purchased by Homeboyz in the last three (3) years.
10. So far as the Directors of Homeboyz are aware, there is no material litigation nor are there claims of material importance pending or threatened against Homeboyz save as disclosed in this section of the Listing Statement.
11. Homeboyz's auditors have not resigned nor have they been removed since its incorporation. Matengo & Associates, as the Company's auditors, have not deposited with Homeboyz a statement of circumstances which they believe should be brought to the attention of the shareholders and creditors of Homeboyz.
12. Except as disclosed in this Listing Statement, there is no existing or proposed contract between any Director and Homeboyz.
13. Homeboyz's Articles of Association do not stipulate a minimum number of shares required by an individual to allow for qualification as a Director.
14. No amounts have been paid or agreed to be paid in cash or otherwise by any person to any present Director, or to any partnership, company or other entity of which any Director is a member, either to induce them to become or to qualify the as a Director or for services rendered by any such Director or by any such partnership, company or entity in connection with the promotion or formation of Homeboyz.
15. Save as disclosed in this Listing Statement, no amount or benefit has been paid or given within the three (3) years preceding the date of this Listing Statement or is intended to be paid or given to any promoter.
16. All shareholders have equal voting rights and no preferential voting rights are attached to any shares in the Company.
17. No bankruptcy, receivership or similar proceedings have been taken against any shareholder in Homeboyz.
18. No options to purchase any securities of the Company have been granted to or exercised by any Director, its subsidiary or holding company within the period of one (1) year prior to the date of this Listing Statement.
19. Save as disclosed in this Listing Statement, there are no transactions that are or were unusual in their nature or conditions or significant to the business of the Company, effected during the current or immediately preceding year which remain outstanding or unperformed.
20. Save for the salaries and benefits paid to the executive directors and the fees paid to the non-executive directors a, no other cash, securities or benefits have been paid, issued or given to any Director in the last three (3) years preceding the publication this Listing Statement or proposed to be paid, issued or given to any such persons, in their capacity as a Director except as may have been disclosed in this Listing Statement.
21. Homeboyz has contingent liabilities, capital commitments and future rental commitments under operating leases as disclosed in the Reporting Accountant's Report.
22. The Board may exercise all powers of the Company to borrow or raise money and to mortgage or charge its undertaking, property and uncalled capital or any part thereof and to issue income notes, bonds, debentures and other securities.
23. None of the Directors have in the last two (2) years been subject to bankruptcy proceedings nor have they been barred by any court of competent jurisdiction from being a director or acting as an investment adviser or as a director or employee of a stockbroker, dealer or any other financial service institution or from engaging in any type of business practice or activity.
24. There have been no criminal proceedings in which any Director has been convicted of fraud or any criminal offence either within or outside Kenya, and no Director is the subject of any

pending criminal proceedings, or proceedings in respect of any other offence or action either within or outside Kenya.

25. There is no material intercompany finance between Homeboyz and any subsidiary outside of a normal operating business as a going concern.
26. There have been no material disposals of assets by Homeboyz in the last three (3) years.
27. There is no arrangement pursuant to which any future dividends of Homeboyz have been waived or have been agreed to be waived.
28. There is no other information other than in this Listing Statement that has been reviewed by the Legal Advisor and the Reporting Accountant.
29. Save as disclosed in the accompanying valuation model, no senior management changes are planned or expected during the twenty-four (24) months following the Listing.

Consents

MMC ASAFO and Matengo & Associates have given and have not withdrawn their respective consents to the issuance of this Listing Statement and to the inclusion of their respective opinions herein, the references to those opinions, their names and the reference to their names, as applicable, in the form and context in which the same, respectively, appear.

13. Directors' Statement

The Directors of Homeboyz Entertainment Plc accept responsibility for the information contained in this document. To the best of the knowledge and belief of the Directors (who have taken all reasonable care to ensure that such is the case), the information contained in this document is in accordance with facts and does not omit anything likely to affect the import of such information.

The Board of Directors of the Group confirm that in their opinion the working capital available to the Company is sufficient for its present requirements.

The Directors declare that all information stated in this Listing Statement and the statements contained herein are correct and neither the Board of Directors, minutes, audit reports nor any other internal documents contain information which could distort the interpretation of this Listing Statement.

Signed by:

Myke Rabar
Director



Rose Rabar
Director



Appendix I. Reporting Accountant's Report

The directors submit their report together with the audited financial statements for the four years period ending 31st December 2019 which disclose the state of affairs of the company.

Incorporation

The company is domiciled in Kenya where it is incorporated as a private company limited by shares under the Kenya Companies Act. The address of the registered office is set out on page 1.

Principal Activities

The principal activity of the company is that of hiring, selling, servicing and repairing of communication equipment.

Results & Dividends:

	2019	2018	2017	2016
	Kshs	Kshs	Kshs	Kshs
Net Income	311,516,155	346,456,406	371,840,791	400,808,357
Expenditure	(272,607,716)	(356,145,691)	(377,429,586)	(388,015,162)
Net profit/ (loss)	**38,908,439**	**(9,689,284)**	**(5,588,795)**	**12,793,195**

The Board of Directors

The directors who served during the period and to the date of this report is as listed on page 1.

Independent Auditors

Matengo & Associates, Certified Public Accountants, were appointed during the years under review.

By Order of the Board



_____

Director

Nairobi____28th September__2020

REPORTING ACCOUNTANT'S REPORT

FOR THE FOUR YEARS

Opinion

We have prepared the financial statements of Homeboyz Entertainment Ltd (now Homeboyz Entertainment Plc), which comprise the statement of financial position for the four-year period ended 31st December, 2019, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects**,** the financial position of the Company for the four years ended 31st December, 2019, and of its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Consent

We consent to the inclusion of this report in the Listing statement to be issued.

Basis for Opinion

Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' *Code of Ethics for Professional Accountants (IESBA Code)* together with the ethical requirements that are relevant to our audit of the financial statements in Kenya and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

The financial statements in the last four years have received unqualified opinion throughout the period covered with the Accountants report.

Going Concern

Our responsibility as auditors was to obtain sufficient, appropriate audit evidence about the appropriateness of management's use of the going concern assumption in the financial statements and to conclude whether there is a material uncertainty about the Company, s ability to continue as a going concern basis. The assumption is that the business will carry on its activities in the same way for the foreseeable future.

We tested these assumptions and were satisfied that the Company had the cash to fund its operations, the suppliers will continue to supply it and its products will continue to be bought by the customers.

Other Information

The directors are responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information; we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Directors and those charged with Governance for the Financial Statements

The directors are responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Company to express an opinion on the financial statements. We are responsible for the direction, supervision and performance of the Company audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner responsible for the audit resulting in this independent auditor's report is **CPA Meshack Matengo** Practising Certificate **No. 2061**.

Matengo & Associates
CERTIFIED PUBLIC ACCOUNTANTS
NAIROBI

28/09/2020
Date

MATENGO & ASSOCIATES
CERTIFIED PUBLIC ACCOUNTANTS (K)
23 SEP 2020
P. O. Box 67603 - 00200
NAIROBI

Homeboyz Entertainment Limited

Statement of Comprehensive Income

For the year ended 31st December 2019

	Notes	2019 Kshs	2018 Kshs	2017 Kshs	2016 Kshs
Turnover	2	**311,516,155**	**346,456,406**	**371,840,791**	**400,808,357**
Direct Costs	3	(122,073,166)	(202,360,035)	(185,592,367)	(233,447,667)
Total Comprehensive Income		**189,442,989**	**144,096,372**	**186,248,424**	**167,360,690**
Expenses					
Administrative Costs		147,135,442	149,978,572	191,527,097	153,439,482
Finance costs		**3,399,108**	**3,807,084**	**310,121**	**1,128,013**
Total Expenses		**150,534,550**	**153,785,656**	**191,837,219**	**154,567,495**
Net Operating Profit/Deficit		**38,908,439**	**(9,689,284)**	**(5,588,795)**	**12,793,195**
Net Surplus/(Deficit) before Tax		**38,908,439**	**(9,689,284)**	**(5,588,795)**	**12,793,195**
Tax charge	6	(2,332,940)	-	-	(3,844,189)
Net Surplus/(Deficit) after Tax		**36,575,499**	**(9,689,284)**	**(5,588,795)**	**8,949,006**
Earnings Per Share (EPS) **Based on the current number of issued shares*		**0.58**	**(0.15)**	**(0.09)**	**0.14**

Homeboyz Entertainment Limited
Statement of Financial Position

For the year ended 31st December 2019

		2019	2018	2017	2016
ASSETS	**Notes**	**Kshs**	**Kshs**	**Kshs**	**Kshs**
Non-Current Assets					
Property, Plant & Equipment	7	76,345,909	82,650,538	86,433,986	43,719,356
Deferred Tax		-	-	6,839,609	6,839,609
Total		**76,345,909**	**82,650,538**	**93,273,595**	**50,558,965**
Current Assets					
Trade Receivables and Prepayments	8	56,946,121	27,306,344	23,023,878	32,153,262
Cash and Cash Equivalents	9	13,168,327	1,046,991	3,479,238	21,456,265
Total Current Assets		**70,114,448**	**28,353,335**	**26,503,116**	**53,609,526**
Total Assets		**146,460,357**	**111,003,873**	**119,776,711**	**104,168,491**
EQUITY & LIABILITIES					
Equity					
Share Capital	10	20,000,000	20,000,000	20,000,000	20,000,000
Retained Earnings		19,878,539	(16,696,960)	(1,616,920)	1,643,491
Total Equity		**39,878,539**	**3,303,040**	**18,383,080**	**21,643,491**
Liabilities					
Non-Current Liabilities					
Convertible Debt	11	11,600,718	-	-	-
Directors Account	12	10,000,000	6,428,576	-	-
Hire Purchase and Long-Term Provisions	13	21,054,345	29,673,844	25,679,162	-
Total Non-Current Liabilities		**42,655,063**	**36,102,420**	**25,679,162**	**-**
Current Liabilities					
Trade Payables and Accrual	14	74,200,772	82,178,928	82,348,308	80,664,761
Corporation tax	16	(10,274,017)	(10,580,515)	(6,633,840)	1,860,240
Total Current Liabilities		**63,926,755**	**71,598,413**	**75,714,468**	**82,525,001**
Total Liabilities		**106,581,818**	**107,700,834**	**101,393,631**	**82,525,001**
Total Equity & Liabilities		**146,460,357**	**111,003,873**	**119,776,711**	**104,168,491**

Homeboyz Entertainment Limited
Statement of Changes in Equity
For the year ended 31st December 2019

	Share Capital Kshs	Retained Earnings Kshs	Total Kshs
As at 1.01.2016	**20,000,000**	**(7,305,516)**	**12,694,484**
Prior Year Adjustments			-
Restarted Balance	20,000,000	(7,305,516)	12,694,484
Net Surplus/(Deficit) for the year	-	8,949,006	8,949,006
As at 31.12.2016	**20,000,000**	**1,643,491**	**21,643,491**
As at 1.01.2017	**20,000,000**	**1,643,491**	**21,643,491**
Prior Year Adjustments		2,328,384	2,328,384
Restarted Balance	20,000,000	3,971,875	23,971,875
Net Surplus/(Deficit) for the year	-	(5,588,795)	(5,588,795)
As at 31.12.2017	**20,000,000**	**(1,616,920)**	**18,383,080**
As at 1.01.2018	**20,000,000**	**(1,616,920)**	**18,383,080**
Prior Year Adjustments		(5,390,756)	(5,390,756)
Restarted Balance	20,000,000	(7,007,676)	12,992,324
Net Surplus/(Deficit) for the year		(9,689,284)	(9,689,284)
As at 31.12.2018	**20,000,000**	**(16,696,960)**	**3,303,040**
As at 1.01.2019	**20,000,000**	**(16,696,960)**	**3,303,040**
Prior Year Adjustments			-
Restarted Balance	20,000,000	(16,696,960)	3,303,040
Net Surplus/(Deficit) for the year		36,575,499	36,575,499
As at 31.12.2019	**20,000,000**	**19,878,539**	**39,878,539**

Homeboyz Entertainment Limited
Statement of Cash Flow
For the year ended 31st December 2019

	Notes	2019 Kshs	2018 Kshs	2017 Kshs	2016 Kshs
Cash flow from operating activities					
Surplus/ (Deficit) for the year before taxation		38,908,439	(9,689,284)	(5,588,795)	12,793,195
Adjustments before working capital changes					
Depreciation		12,929,630	14,336,059	35,145,074	17,002,632
Gain/Loss on Disposal		-	-	(545,534)	-
WHT deducted		(2,332,940)	(3,946,675)	(8,494,080)	273,131
Prior Year Adjustment		-	1,448,853	2,328,384	-
Operating Profit/(Loss) Before working capital changes		**49,505,129**	**2,148,953**	**22,845,049**	**30,068,959**
Changes in Working Capital					
Decrease/(Increase in Receivables)		(29,639,777)	(4,282,467)	9,129,384	(8,307,905)
Decrease/(Increase in Payables		(7,671,656)	(169,380)	1,683,548	7,594,958
Net Changes in working Capital		**12,193,696**	**(2,302,894)**	**33,657,981**	**29,356,011**
Cash flow from Operating Activities		12,193,696	(2,302,894)	33,657,981	29,356,011
Cash flow from Investing Activities					
Purchase of Fixed Assets		(6,625,000)	(10,552,612)	(78,070,169)	(4,147,657)
Disposal of Fixed Assets			-	756,000	
Cash flow from Investing Activities		**(6,625,000)**	**(10,552,612)**	**(77,314,169)**	**(4,147,657)**
Cash flow from Financing Activities					
Short-Term Borrowings					(1,994,535)
Long-Term Borrowings		(8,619,499)	3,994,682	25,679,162	(13,137,906)
Convertible Debt		11,600,718			
Directors current accounts		3,571,421	6,428,576		
Cash flow from Financing Activities		**6,552,640**	**10,423,258**	**25,679,162**	**(15,132,441)**
Changes in Cash and Cash Equivalents		12,121,336	(2,432,248)	(17,977,026)	10,075,913
Cash and Cash Equivalent at the beginning		1,046,990	3,479,238	21,456,265	11,380,352
Cash and Cash Equivalent as at year end	**17**	**13,168,327**	**1,046,990**	**3,479,238**	**21,456,265**

Homeboyz Entertainment Limited
Notes to the Financial Statements
For the year ended 31st December 2019

1. Accounting Policies

Statement of Compliance with International Financial Reporting Standards

The financial statements are prepared in accordance with International Financial Reporting Standards. These are the company's first IFRS financial statements.

For the Kenyan Companies Act reporting purposes, in these financial statements the balance sheet is equivalent to the statement of financial position and the surplus and deficit account is presented in the statement of comprehensive income.

(a) Standards and interpretations effective in the current period

Various standards and interpretations were effective in the current period. However, only IAS 1 is relevant to the financial statements of the company.

IAS 1 (Revised), 'Presentation of Financial Statements'

IAS 1 (Revised), 'Presentation of Financial Statements' was issued in September 2007 and will be effective for annual periods beginning on or after 1 January 2009.

The revised standard introduces the concept of a statement of comprehensive income, which enables users of the financial statements to analyze changes in a company's equity resulting from transactions with owners separately from non-owner changes.

All non-owner changes in equity will be required to be shown in a performance statement, but provides the option of presenting items of income and expense and components of other comprehensive income either as a single statement of comprehensive income or in two separate statements, the income statement and statement of comprehensive income.

The previous version of IAS 1 used the titles 'Balance Sheet' and 'Cash Flow Statement' to describe two of the statements within a complete set of financial statements. The revised IAS 1 uses 'Statement of Financial Position' and 'Statement of Cash Flows' respectively for those statements

(b) New and revised standards and interpretations in issue but not yet effective

IFRS 9, 'Financial Instruments Part 1: Classification and Measurement' – Effective 1 January 2014

IFRS 9 was issued in November 2009 and replaces those parts of IAS 39 relating to the classification and measurement of financial assets. Key features are as follows:

Homeboyz Entertainment Limited
Notes to the Financial Statements
For the year ended 31st December 2019

1. Accounting Policies (Cont.')

Financial assets are required to be classified into two measurement categories: those to be measured subsequently at fair value, and those to be measured subsequently at amortised cost. The decision is to be made at initial recognition.

The classification depends on the entity's business model for managing its financial instruments and the contractual cash flow characteristics of the instrument.

All equity instruments are to be measured subsequently at fair value. Equity instruments that are held for trading will be measured at fair value through surplus or deficit. For all other equity investments, an irrevocable election can be made at initial recognition, to recognize unrealised and realised fair value gains and deficits through other comprehensive income rather than surplus or deficit. There is to be no recycling of fair value gains and deficits to surplus or deficit. This election may be made on an instrument-by-instrument basis. Dividends are to be presented in surplus or deficit, as long as they represent a return on investment. While adoption of IFRS 9 is mandatory from 1 January 2013, earlier adoption is permitted.

Impact of other standards and interpretations

The directors anticipate that the adoption of amendments to various IFRS resulting from the International Accounting Standards Board (IASB)'s annual improvements projects, when effective, will have no material impact on the financial statements of the company.

(c) Early Adoption of Standards

The company did not early-adopt new or amended standards in 2009.

(d) Basis of Preparation

The financial statements are prepared under the historical cost basis of accounting.

(e) Revenue Recognition

Sales represent the fair value of consideration received or receivable for the sale of goods and services, and are stated net of Value Added Tax and discounts. Sale of goods is recognized upon the delivery of the product to customer and acceptance thereof by the customer.

(f) Foreign Currencies

Transactions during the year denominated in foreign currencies are translated at the rates ruling at the dates of the transactions. Assets and liabilities denominated in foreign currencies at the end of the year are translated at the rates of exchange ruling at the year end. Gains and deficits on exchange are dealt with in surplus or deficit in the year in which they arise.

Homeboyz Entertainment Limited
Notes to the Financial Statements
For the year ended 31st December 2019

1. Accounting Policies (Cont.')

(g) Depreciation

Depreciation on other items of property, plant and equipment is calculated to write off the cost or the revalued amounts in equal annual installments over their expected useful lives. The annual rates used are:

Office Equipment	12.5%
Furniture & Fittings	12.5%
Computer	20%

(h) Impairment

At each end of reporting period, the company reviews the carrying amounts of its tangible assets to determine whether there is any indication that those assets have suffered an impairment deficit. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment deficit (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash-generating unit to which the asset belongs.

(i) Cash and Cash Equivalent

For the purpose of the cash flow statement, cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which were within three months to maturity when acquired, less advances from banks repayable within three months from the date of advance.

(j) Taxation

Current taxation is provided on the basis of the results for the period shown in the financial statements, adjusted in accordance with the tax legislation.

Deferred tax is provided using the liability method for all temporary differences arising between the tax base of the assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred income tax.

The principal temporary differences arise from depreciation on property and equipment. Deferred tax assets are recognized for tax deficits carried forward only to the extent that realization of the related tax benefit can be foreseen.

Homeboyz Entertainment Limited
Notes to the Financial Statements
For the year ended 31st December 2019

1. Accounting Policies (Cont.')

(k) Retirement Benefits

The company contributes to a statutory defined pension scheme, the National Social Security Fund (NSSF). Contributions are determined by local statute and are currently limited to Kshs. 200 per employee per month. The company's contributions to retirement benefit schemes are charged to the surplus or deficit in the year to which they relate.

(l) Leases

Rental payments in respect of operating leases are charged to the surplus or deficit.

(m) Provisions

Provisions for liabilities are recognized when there is a present obligation (legal or constructive) resulting from a past event, and it is probable that an outflow of economic resources will be required to settle the obligation and a reliable estimate can be made of the monetary value of the obligation.

(n) Financial Instruments

Financial assets and financial liabilities are recognized on the company's statement of financial position when the company becomes a party to the contractual provisions of the instrument.

(p) Trade Receivables

Trade receivables are stated at their nominal value as reduced by the appropriate allowances for estimated irrecoverable amounts. The irrecoverable amounts are estimated by the company's management based on prior experience and their assessment of the current economic environment. Bad debts are written off when all reasonable steps to recover them have failed.

(q) Payables

Payables are stated at their amortized cost.

Homeboyz Entertainment Limited
Notes to the Financial Statements
For the year ended 31st December 2019

		2019	2018	2017	2016
		Kshs	Kshs	Kshs	Kshs
2	**Turnover**				
	Local Revenue-events Managements	84,902,971	142,046,239	120,674,474	197,062,644
	Studio Hire	22,337,924	8,024,820	51,049,831	20,255,300
	DJ Agency/Gigs.	-	1,298,826	3,735,478	3,039,230
	MTA-DJ Academy	-	-	14,212,246	12,035,606
	Soundtraxx	134,133,128	124,743,863	141,087,472	122,008,925
	Barrier, Stage and Generator Hire	52,764,913	45,123,486	25,773,707	40,349,803
	Public Relations	-	13,287,164	10,373,326	1,776,614
	Fixxit	-	-	4,388,724	82,700
	E-Commerce Products	2,501,751	1,629,111	-	3,664,536
	Bleachers	14,875,468	10,302,897	-	533,000
	Gain on Disposals	-	-	545,534	-
	Total Income	**311,516,155**	**346,456,406**	**371,840,791**	**400,808,357**
3	Direct Costs				
	Events and Management	62,254,563	148,009,167	111,208,605	162,185,879
	DJ Agency	151,100	274,654	456,700	401,600
	Soundtraxx	50,206,178	47,521,169	40,022,763	58,704,041
	Studios	9,461,325	6,555,044	33,423,799	10,849,313
	Music Technology Academy	-	-	480,500	1,306,834
	Total	**122,073,166**	**202,360,035**	**185,592,367**	**233,447,667**
4	**The following items have been charged in arriving at the surplus for the year**				
	Audit Fees	566,556	462,840	440,800	440,800
	Employee Benefit Obligation	53,945,424	52,544,825	49,421,357	41,445,746
5	**Employment benefits expenses**				
	The following items are included in employee benefit expenses				
	Salaries & Wages Permanent Staff	52,083,639	50,816,777	46,869,146	38,357,656
	Social Security Benefits-Company Contribution	156,600	132,800	132,200	136,200.00
	Staff Welfare and Medical	1,652,885	1,546,298	2,335,411	2,062,511
	Staff Training	52,300	48,950	84,600	889,378
	Total	**53,945,424**	**52,544,825**	**49,421,357**	**41,445,746**
	The Number of People Employed at Year End	54	55	55	62

Homeboyz Entertainment Limited
Notes to the Financial Statements
For the year ended 31st December 2019

		2019	2,018	2017	2016
6	**Taxation**	**Kshs**	**Kshs**	**Kshs**	**Kshs**
	Accounting profit/(Loss) for the Year	38,908,439	(9,689,284)	(5,588,795)	12,793,195
	Add: Disallowed Expenses				
	Depreciation	12,929,630	14,336,059	35,145,074	17,002,632
	Tax penalties & Fines		989,805		-
	Adjusted Profit	51,838,067	5,636,580	29,556,279	29,795,827
	Less Wear and Tear for Tax Purposes	(20,220,395)	(26,477,172)	(32,556,890)	(13,099,437)
	Adjusted Profit for Tax Purposes	31,617,672	(20,840,592)	(3,000,612)	16,696,390
	Less Losses Bought Forward	(23,841,204)			(3,882,427)
	Taxable profit/ (Loss)	**7,776,468**	**(20,840,592)**	**(3,000,612)**	**12,813,963**
	Tax thereon @30%	**2,332,940**	**-**	**-**	**3,844,189**

Homeboyz Entertainment Limited
Notes to the Financial Statements
For the year ended 31st December 2019

7	Plant Property and Equipment	Lease Hold Improvements	Trucks and Lorries	Computers	Studio & Musical Equipment's	Furniture Fitting & Equipment's	Total
		Kshs	Kshs	Kshs	Kshs	Kshs	Kshs
	Cost/Valuation-2016						
	Cost as at 01.01.2016	4,828,178	42,985,839	28,778,523	145,342,948	17,241,259	239,176,748
	Additions				4,036,623	111,034	4,147,657
	Disposal						-
	Total Cost at 31.12.2016	4,828,178	42,985,839	28,778,523	149,379,571	17,352,293	243,324,405
	Cost/Valuation-2017						
	Cost as at 01.01.2017	4,828,178	42,985,839	28,778,523	149,379,571	17,352,293	243,324,405
	Additions		25,334,139	345,000	42,332,872	10,058,159	78,070,169
	Disposal		(862,069)				(862,069)
	Total Cost at 31.12.2017	4,828,178	67,457,909	29,123,523	191,712,443	27,410,452	320,532,505
	Cost/Valuation-2018						
	Cost as at 01.01.2018	4,828,178	67,457,909	29,123,523	191,712,443	27,410,452	320,532,505
	Additions		10,511,233			41,379	10,552,612
	Disposal						-
	Total Cost at 31.12.2018	4,828,178	77,969,142	29,123,523	191,712,443	27,451,831	331,085,117

Homeboyz Entertainment Limited
Notes to the Financial Statements
For the year ended 31st December 2019

	Lease Hold Improvements Kshs	Trucks and Lorries Kshs	Computers Kshs	Studio & Musical Equipment's Kshs	Furniture Fitting & Equipment's Kshs	Total Kshs
Cost/Valuation-2019						
Cost as at 01.01.2019	4,828,178	77,969,142	29,123,523	191,712,443	27,451,831	331,085,117
Additions				6,625,000		6,625,000
Disposal						-
Total Cost at 31.12.2019	**4,828,178**	**77,969,142**	**29,123,523**	**198,337,443**	**27,451,831**	**337,710,117**
Depreciation-2016						
As at 01.01.2016	4,065,847	35,189,998	21,050,693	114,459,267	7,836,611	182,602,416
Charge for the year	95,291	2,923,440	2,318,349	10,476,091	1,189,460	17,002,632
						-
As at 31.12.2016	**4,161,138**	**38,113,439**	**23,369,042**	**124,935,358**	**9,026,072**	**199,605,049**
Depreciation-2017						
As at 01.01.2017	4,161,138	38,113,439	23,369,042	124,935,358	9,026,072	199,605,049
Charge for the year	83,380	11,004,176	1,726,344	20,033,125	2,298,048	35,145,074
Disposals		(651,603)				(651,603)
As at 31.12.2017	**4,244,518**	**48,466,012**	**25,095,386**	**144,968,484**	**11,324,119**	**234,098,519**

Homeboyz Entertainment Limited
Notes to the Financial Statements
For the year ended 31st December 2019

	Lease Hold Improvements	Trucks and Lorries	Computers	Studio & Musical Equipment's	Furniture Fitting & Equipment's	Total
	Kshs	Kshs	Kshs	Kshs	Kshs	Kshs
Depreciation-2018						
As at 01.01.2018	4,244,518	48,466,012	25,095,386	144,968,484	11,324,119	234,098,519
Charge for the year	72,957	5,900,626	503,517	5,842,995	2,015,964	14,336,059
Disposals						-
As at 31.12.2018	**4,317,476**	**54,366,638**	**25,598,903**	**150,811,479**	**13,340,083**	**248,434,579**
Depreciation-2019						
As at 01.01.2019	**4,317,476**	**54,366,638**	**25,598,903**	**150,811,479**	**13,340,083**	**248,434,579**
Charge for the year	63,838	4,720,501	440,577	5,940,745	1,763,969	12,929,630
Disposals						-
As at 30.12.2019	**4,381,314**	**59,087,139**	**26,039,481**	**156,752,224**	**15,104,052**	**261,364,208**
N.B.V 31.12.2016	**667,040**	**4,872,400**	**5,409,481**	**24,444,213**	**8,326,222**	**43,719,356**
N.B.V 31.12.2017	**583,660**	**18,991,897**	**4,028,137**	**46,743,959**	**16,086,333**	**86,433,986**
N.B.V 31.12.2018	**510,702**	**23,602,504**	**3,524,620**	**40,900,964**	**14,111,748**	**82,650,538**
N.B.V 31.12.2019	**446,864**	**18,882,003**	**3,084,042**	**41,585,219**	**12,347,780**	**76,345,909**

Homeboyz Entertainment Limited
Notes to the Financial Statements
For the year ended 31st December 2019

		2,019	2,018	2017	2016
8	**Trade Receivables and Prepayments**	**Kshs**	**Kshs**	**Kshs**	**Kshs**
	Trade Receivables	47,100,256	19,132,730	14,564,794	23,954,892
	Withholding VAT	5,682,443	5,775,375	5,208,971	3,533,460
	Deposits	1,077,793	1,077,793	1,837,838	4,664,909
	Prepayments	3,085,629	1,320,446	1,412,274	
	Total	**56,946,121**	**27,306,344**	**23,023,878**	**32,153,262**
9	**Cash and Cash Equivalents**				
	NIC Bank	1,923,506	1,309,669	3,366,093	9,841,942
	Bank of Africa-Main	10,396,660	(399,312)	224,814	6,923,722
	Bank of Africa-(MTA)		-	(291,853)	3,837,910
	Cash at Hand	135,878	26,237	29,985	15,932
	CFC Stanbic	621,531	39,924		
	HABIB Bank	90,752	70,473	150,200	836,758
	Total	**13,168,327**	**1,046,991**	**3,479,238**	**21,456,265**
10	**Share Capital**				
	Authorised Share capital 200,000 @ 100 each	20,000,000	20,000,000	20,000,000	20,000,000
	Issued and Fully Paid	20,000,000	20,000,000	20,000,000	20,000,000

The authorized number of ordinary shares is 200,000 with per value of Kshs 100 each.

11	**Convertible Debt**	
	Mike Rabar	5,800,359
	Rose Rabar	5,800,359
	Total	**11,600,718**

Vide a resolution dated 15.12.2019, part of the directors' balances due were transferred to convertible debt redeemable within three years. This amount accrue interest at zero percentage points and shall not attract any discount upon conversion.

12	**Related party Transactions**				
	Directors Remuneration				
	Directors Remuneration	30,733,248	30,733,248	29,041,836	20,491,272
	Directors Pension	475,200	475,200	475,200	475,200
	Social Security Benefits-Company Contribution	4,800	4,800	4,800	4,800
	Total	**31,213,248**	**31,213,248**	**29,521,836**	**20,971,272**

Homeboyz Entertainment Limited
Notes to the Financial Statements
For the year ended 31st December 2019

12 **Related Party Transactions (Cont')**	2,019	2,018	2017	2016
Directors Account	**Kshs**	**Kshs**	**Kshs**	**Kshs**
Mike Rabar	5,000,000	3,214,288	-	-
Rose Rabar	5,000,000	3,214,288	-	-
Total	**10,000,000**	**6,428,576**		
The number of Director at the Year-end was:				
Executive	2	2	2	2
Non-Executive	1	1	1	1
Total	**3**	**3**	**3**	**3**

Homeboyz Entertainment Limited
Notes to the Financial Statements
For the year ended 31st December 2019

		2,019	2,018	2017	2016
		Kshs	Kshs	Kshs	Kshs
13	**Hire Purchase and Long-Term Provisions**				
	At start of the Year	29,673,844	25,679,162		
	Addition	(8,619,499)	3,994,682	25,679,162	
	Total	**21,054,345**	**29,673,844**	**25,679,162**	**-**
	Hire Purchase				
	At Start of the Year				
	Addition				
	Total	**21,054,345**	**29,673,844**	**25,679,162**	**-**
				-	**-**
	Closing Balances	**21,054,345**	**29,673,844**	**25,679,162**	**-**
14	**Trade Payables and Accrual**				
	Trade Payables	70,285,453	67,629,961	79,872,021	77,193,582
	Withholding Tax Payable	278,934	113,642	144,935	112,397
	VAT Payable (Claimable)	1,171,920	9,854,230	11,083	1,202,722
	Accrued audit fees	416,556	462,840	440,800	440,800
	VAT Withheld	719,541	547,432	193,088	257,534
	Payroll Liabilities	-			

Homeboyz Entertainment Limited
Notes to the Financial Statements
For the ended 31st December 2019

		2,019	2,018	2017	2016
		Kshs	Kshs	Kshs	Kshs
	PAYE Payable	1,225,218	3,070,023	1,596,282	1,355,276
	NHIF Payable	77,150	-	68,100	77,650
	NSSF and Pension Payable	26,000	500,800	22,000	24,800
	Total	**74,200,772**	**82,178,928**	**82,348,308**	**80,664,761**
16	**Tax Payable/Asset**				
	At Start of the Year	(10,580,515)	(6,633,840)	1,860,240	(2,257,080)
	Prior Year Adjustment				
	Tax Charge	2,332,940	-	-	3,844,189
	Tax Paid/Recovered			(1,860,240)	2,257,080
	Advance Tax paid for Year 2017	(109,005)	-	(1,040,000)	
	Withholding Tax Paid	(1,917,437)	(3,946,675)	(5,593,840)	(1,983,949)
	Tax Asset	**(10,274,017)**	**(10,580,515)**	**(6,633,840)**	**1,860,240**
17	**Cash and Cash Equivalent as per Statement of Cashflow**				
	Cash and Cash Equivalent	13,168,327	1,046,991	3,479,238	21,456,265
		-	-	-	-
	Cash and Cash Equivalent as at the end of the period	**13,168,327**	**1,046,991**	**3,479,238**	**21,456,265**

Homeboyz Entertainment Limited
Notes to the Financial Statements
For the year ended 31st December 2019

17 Critical Accounting Judgments and Key Source of Estimation of Uncertainty

In the process of applying the company's accounting policies, management is required to make judgments, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised if the revision only affects that period or in the period of the revision and future periods if the revision affects both current and future periods.

The key areas of judgment in applying the entities accounting policies are dealt with below: Critical estimates are made by directors in estimating the useful lives of property and equipment at the end of each reporting period.

Impairment

At each end of reporting period date, the company reviews the carrying amounts of its assets to determine whether there is any indication that those assets have suffered an impairment deficit. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment deficit. Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash generating unit to which the asset belongs.

Homeboyz Entertainment Limited
Schedules to the Financial Statements
For the year ended 31st December 2019

		2019	2018	2017	2016
1	**Administrative Costs**	**Kshs**	**Kshs**	**Kshs**	**Kshs**
	Directors Remuneration	31,213,248	31,213,248	29,521,836	20,971,272
	Occupancy	17,985,261	16,688,367	23,158,453	20,813,516
	Insurance, Licenses and Permits	2,269,071	2,439,133	2,755,236	1,874,505
	Marketing & Publicity	13,064,409	5,713,680	13,006,575	5,400,162
	Communication	2,235,307	2,265,248	2,784,181	2,923,715
	Stationery and Printing	1,216,815	974,081	948,165	770,339
	Transport, Travelling & Accommodation	5,656,768	9,512,079	12,930,584	16,781,766
	Technology: Upgrade and Maintenance	150,379		284,310	739,729
	Repair and Maintenance	476,415	601,954	2,204,982	1,094,184
	Professional Services	4,134,474	11,013,695	16,435,143	19,559,815
	Subscription Fees	627,259	342,759	418,600	529,004
	Audit & Accountancy	566,556	462,840	440,800	440,800
	Depreciation	12,929,630	14,336,059	35,145,074	17,002,632
	Bank Charges	467,474	836,706	923,124	366,250
	General Expenses	196,952	1,033,896	1,148,678	2,726,048
	Total	**93,190,018**	**97,433,747**	**142,105,741**	**111,993,736**
2	**Staff Costs**				
	Salaries & Wages Permanent Staff	52,083,639	50,816,777	46,869,146	38,357,656
	Social security benefits-Company Contribution	156,600	132,800	132,200	136,200
	Staff Welfare and Medical	1,652,885	1,546,298	2,335,411	2,062,511
	Staff Training and Recruitment	52,300	48,950	84,600	889,378
	Total	**53,945,424**	**52,544,825**	**49,421,357**	**41,445,746**
	Total administrative costs	**147,135,442**	**149,978,572**	**191,527,097**	**153,439,482**
3	Finance costs				
	Interest Expenses	3,399,108	3,807,084	310,121	1,128,013
	Total	**3,399,108**	**3,807,084**	**310,121**	**1,128,013**

Appendix II. Legal Opinion

MMC ASAFO.

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The Directors
Homeboyz Entertainment Plc
P. O. Box 10518 – 00100
8th Floor, Galana Plaza
Galana Road, Kilimani
Nairobi

Dear Sirs,

RE: LEGAL OPINION IN RESPECT OF LISTING BY INTRODUCTION.

We act as legal advisers of Homeboyz Entertainment Plc (the "**Company**") in relation to the proposed listing of its shares in the Growth Enterprise Markets Segment ("GEMS") of the Nairobi Securities Exchange ("NSE").

We are Advocates of the High Court of Kenya, practicing and qualified as such to practice in Kenya, and to advise upon the laws of Kenya.

This legal opinion (this "Opinion") is given in relation to the proposed listing of the Company's shares (the "Listing") on the NSE. We have acted as the Legal Advisors in the Listing and give this Opinion for the inclusion in the Listing Statement. Unless otherwise stated or the context otherwise requires, words and terms defined in the Listing Statement dated 12th November, 2020 in relation to the Listing bear the same meaning in this Opinion.

The opinion is limited to Kenyan Law as applied in the Courts of Kenya and as of the date of the Listing Statement and or the date of the Opinion and to matters of fact prevailing as of the date of this Opinion.

1. Documents

For purposes of this Opinion, we have reviewed the originals or copies of the following documents:

1.1. The Listing Statement;

1.2. The Certificate of Incorporation (Conversion) of Homeboyz dated 2nd September 2020;

1.3. The Certificate of Incorporation of Homeboyz dated 15th March 2001;

1.4. The Homeboyz Memorandum and Articles of association in force as at the date of this Opinion;

1.5. A resolution of the Homeboyz Board of Directors dated 28th February 2020 approving the Listing;

1.6. Audited accounts of the Company for the years ended 31st December 2019, 31st December 2018, 31st December 2017 and 31st December 2016; and

1.7. Other documents and or records that we considered necessary or appropriate for the purposes of this Opinion in respect of the Company.

2. Assumptions

For the purposes of this opinion, we have assumed that:

2.1. The authenticity and completeness of all documents submitted as originals, the conformity with the original documents of all documents submitted as copies and the authenticity of the originals of such latter documents.

2.2. All information contained in the Listing Statement and all information supplied to us by the Company and by its officers is true, accurate and up to date;

2.3. All signatures on all the documents are genuine; and

2.4. With respect to all matters of fact, we have relied on the representations of the officers and agents and or advisers of the Company and assume that it is true in all material respects.

3. Opinion

We render the following Opinion, based on the information made available to us by the Company, and subject to the foregoing Sections 2, 5 and 6 of this Opinion; any matters set out in the Listing Statement; and any matter not disclosed to us:

3.1. The Status of the Company

3.1.1. The Company is a public company limited by shares duly registered under the Companies Act, 2015, Laws of Kenya) and bearing Registration Number C. 2/2020.

3.1.2. The disclosures made in the Listing Statement are accurate as per the information provided to us by the Company.

3.1.3. The Registered Office of the Company is as being 8th Floor, Galana Plaza, Galana Road, Kilimani, Nairobi and of Postal Office Box Number 10518-00100, Nairobi.

3.1.4. The Company has, as at the date hereof, a Board of Directors consisting of the following individuals:

(a) Humphrey Wattanga;

(b) Michael Agwingi Rabar;

(c) Rose Nyaguthii Maina;

(d) John Juma Obonyo Rabar;

(e) Stephen Gugu; and

(f) Joe Otin.

3.1.5. The Board is composed of six directors, two (2) of whom are executive directors and four (4) others are non-executive directors, three (3) of whom are independent. The Board is in compliance with the requirements for a company to be listed under GEMS which requires that:

(a) the Board has at least five (5) directors;

(b) the Board has a majority of non-executive directors;

(c) at least one third (1/3) of the Board are independent and non-executive directors; and

(d) the Board meets the requirements to have undertaken the Directors Induction Program conducted by the NSE.

3.1.6. The Company Secretary of the Company is Phillip Ibrahim Onyango of D&M Management Services LLP.

3.1.7. The Company maintains statutory books at its registered office and under the custody of the Company Secretary.

3.2. Licenses and Consents

3.2.1. All authorizations, approvals, consents, licenses, exemptions, filings or registrations of or with the government or public bodies or authorities of or in Kenya required in connection with the business of the Company have been obtained in proper form, and are in full force and effect.

3.3. Share Capital

3.3.1. The authorised share capital of the Company is Kenya Shillings Thirty One Million Six Hundred Thousand (KES 31,600,000.00) divided into Sixty Three Million Two

Hundred Thousand (63,200,000) ordinary shares of Kenya Shillings Fifty Cents (KES 0.50) each.

3.3.2. The issued share capital of the Company is Kenya Shillings Thirty One Million Six Hundred Thousand (KES 31,600,000) divided into Sixty Three Million Two Hundred Thousand (63,200,000) ordinary shares of Kenya Shillings Fifty cents (KES 0.50) each.

3.3.3. The current shareholders of the Company are:

Name	Current Shareholding
Michael Agwingi Rabar	35,612,000 ordinary shares
Rose Nyaguthii Maina	27,568,000 ordinary shares
John Juma Obonyo Rabar	20,000 ordinary shares

3.3.4. The existing capital of the Company is in conformity with the applicable laws and meets the stipulated GEMS requirements which include:

(a) a minimum issued share capital of Kenya Shillings Ten Million (KES 10,000,000.00); and

(b) a minimum of one hundred thousand (100,000) shares in issue.

3.4. Ownership of assets

The Company does not own any immovable property.

3.5. Subsidiaries

The Company does not own any subsidiaries.

3.6. Material litigation

The Company is not a party to, and has not been threatened with, any material litigation that has not been disclosed in the Listing Statement.

3.7. Material Contracts

3.7.1. Save for the contracts entered into in the ordinary course of business, the Company has not entered into any material contracts, which are not disclosed in the Listing Statement.

3.7.2. As at the date of this Opinion and or the Listing Statement, the Company is not in breach of any material contractual obligations except where disclosed in the Listing Statement.

3.7.3. Except contracts with advisors engaged by the Company for the Listing, there are no contracts with any bank, brokers or any other person in respect of the Listing.

3.8. Material Borrowings

3.8.1. Save for an asset finance facility of Kenya Shillings Five Million, Seven Hundred (KES 5,700,000.00) and an overdraft facility of Kenya Shillings Four Million (KES 4,000,000.00) with Bank of Africa Kenya Limited, the Company has no other existing facilities. We have been informed that the Company has sought and been granted a moratorium of six (6) months until March 2021 in respect of this facility.

3.8.2. According to the documentation availed to us, the powers of the Company have not been exceeded in procuring these borrowings.

4. Consent

We consent to the inclusion of our legal opinion in the Listing Statement to be issued for the Listing in the form and context in which it appears. We confirm that we have given and have not before the delivery of the Listing Statement withdrawn our consent to issue and the inclusion of our legal opinion in the Listing Statement.

5. Reservations

This Opinion is subject to the following qualifications:

5.1. We shall not be liable for any inaccuracies in this Opinion resulting from the actions and/or omissions and/or wilful statements or representations on the part of the Company and/or any of its officers, representatives or agents in the documents which may take place or which may be made in connection with the preparation and/or rendering of this Opinion.

5.2. Any views which are expressed in respect of, or on the basis of, any law, statute, regulation or similar rules, are expressed in respect of the relevant law, statute, regulation or similar rules as it was in force, and on the basis of the provisions thereof at the date of this Opinion.

5.3. Except as explicitly stated in this Opinion, we express no opinion on matters of fact. Further, we do not give any opinion on the commerciality of the Listing.

6. Reliance on the Opinion

6.1. This Opinion is governed by the laws of the Republic of Kenya and relate to the law of the Republic of Kenya as applied by the courts of the Republic of Kenya as at the date

of this Opinion. We express no opinion in this letter on the laws of any other jurisdiction.

6.2. This Opinion is given to the directors of the Company for their own use in relation to the Listing and other than in the Listing Statement may not be disclosed in whole or in part by any person or otherwise quoted, referred to or relied upon for any other purpose. We express no opinion as to any matter not stated in this Opinion and this Opinion is not intended to act as a recommendation as to whether any person should invest in the Company.

6.3. We have been instructed solely by the Company and therefore the issuance of this opinion shall not be taken as an implication that we owe a fiduciary duty of care or a contractual duty of care to any person who is not our client.

Yours faithfully,

Esther Omulele

MMC ASAFO



Homeboyz Entertainment Plc

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